

POSCO HOLDINGS INC.
and its subsidiaries

Interim condensed consolidated financial statements
for each of the three-month periods ended March 31, 2025 and 2024
with the independent auditor's review report

POSCO HOLDINGS INC.

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Report on review of interim condensed consolidated financial statements

(English translation of a report originally issued in Korean)

The Stockholders and Board of Directors POSCO HOLDINGS INC.

We have reviewed the accompanying interim condensed consolidated financial statements of POSCO HOLDINGS INC. and its subsidiaries (collectively referred to as the “Group”), which comprise the interim condensed consolidated statement of financial position as of March 31, 2025, and the related interim condensed consolidated statements of comprehensive income, interim condensed consolidated statements of changes in equity and interim condensed consolidated statements of cash flows for each of the three-month periods ended March 31, 2025 and 2024, and a summary of material accounting policy information and other explanatory information.

Management’s responsibility for the interim condensed consolidated financial statements

Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (“KIFRS”) 1034 *Interim Financial Reporting*, and for such internal control as management determines is necessary to enable the preparation of interim financial statements that are free from material misstatement, whether due to fraud or error.

Auditor’s responsibility

Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

We conducted our review in accordance with the Review Standards for Quarterly and Semiannual Financial Statements established by the Securities and Futures Commission of the Republic of Korea. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Korean Standards on Auditing (“KSA”) and, consequently, does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with KIFRS 1034 *Interim Financial Reporting*.

Other matters

We have audited the consolidated statement of financial position of the Group as of December 31, 2024, and the related consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended (not presented herein) in accordance with KSA, and our report dated March 12, 2025 expressed an unqualified opinion thereon. The accompanying consolidated statement of financial position as of December 31, 2024, presented for comparative purposes, is not different, in all material respects, from the above audited consolidated statement of financial position.

Ernst & Young Han Young

May 15, 2025

This review report is effective as of May 15, 2025, the independent auditor's review report date. Accordingly, certain material subsequent events or circumstances may have occurred during the period from the date of the independent auditor's review report to the time this review report is used. Such events and circumstances could significantly affect the accompanying interim condensed consolidated financial statements and may result in modification to this review report.

POSCO HOLDINGS INC. and its subsidiaries

Interim condensed consolidated financial statements
for each of the three-month periods ended March 31, 2025 and 2024

“The accompanying interim condensed consolidated financial statements, including all footnotes and disclosures, have been prepared by, and are the responsibility of, the Group.”

Jootae Lee
Representative Director President
POSCO HOLDINGS INC.

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of financial position
as of March 31, 2025 (Unaudited) and December 31, 2024

(in millions of Won)

	Notes	March 31, 2025 (unaudited)	December 31, 2024
Assets			
Cash and cash equivalents	21	₩ 6,772,543	6,767,898
Trade accounts and notes receivable, net	4,15,21,25,26,33	11,138,906	10,821,620
Other receivables, net	5,21,33	2,193,416	2,261,323
Other short-term financial assets	6,21	9,137,846	8,499,389
Inventories	7	13,319,215	14,143,500
Current income tax assets		135,363	140,494
Assets held for sale	8	625,614	608,758
Other current assets	14	968,263	786,943
Total current assets		44,291,166	44,029,925
Long-term trade accounts and notes receivable, net	4,21	34,853	27,779
Other receivables, net	5,21,33	1,464,890	1,306,329
Other long-term financial assets	6,21	2,462,772	2,571,651
Investments in associates and joint ventures	9	4,732,245	4,738,793
Investment property, net	11	1,941,003	1,955,896
Property, plant and equipment, net	12	40,125,627	39,846,828
Intangible assets, net	13	4,845,367	4,774,824
Defined benefit assets, net	19	360,802	409,147
Deferred tax assets	31	1,754,063	3,609,344
Other non-current assets	14	111,085	133,684
Total non-current assets		57,832,707	59,374,275
Total assets		₩ 102,123,873	103,404,200

(continued)

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of financial position, continued
as of March 31, 2025 (Unaudited) and December 31, 2024

(in millions of Won)

	Notes	March 31, 2025 (unaudited)	December 31, 2024
Liabilities			
Trade accounts and notes payable	21,33	₩ 5,688,482	6,159,127
Short-term borrowings and current portion of long-term borrowings	15,21	12,552,159	11,115,747
Other payables	16,21,33	3,388,965	3,463,871
Other short-term financial liabilities	17,21	47,757	120,875
Current income tax liabilities		352,496	350,570
Liabilities directly associated with the assets held for sale	8	32,905	-
Provisions	18	368,146	396,030
Other current liabilities	20,25,26	1,027,179	1,173,499
Total current liabilities		23,458,089	22,779,719
Long-term trade accounts and notes payable		2,049	2,049
Long-term borrowings, excluding current portion	15,21	14,639,109	14,881,620
Other payables	16,21	830,716	809,012
Other long-term financial liabilities	17,21	75,544	72,920
Defined benefit liabilities, net	19	60,159	43,143
Deferred tax liabilities	31	691,005	2,685,549
Long-term provisions	18	596,498	580,559
Other non-current liabilities	20	96,980	99,260
Total non-current liabilities		16,992,060	19,174,112
Total liabilities		40,450,149	41,953,831
Equity			
Share capital	22	482,403	482,403
Capital surplus	22	1,650,870	1,648,894
Other components of equity	23	1,220,965	1,155,429
Treasury shares	24	(1,176,317)	(1,550,862)
Retained earnings		53,398,868	53,658,367
Equity attributable to owners of the controlling company		55,576,789	55,394,231
Non-controlling interests		6,096,935	6,056,137
Total equity		61,673,724	61,450,368
Total liabilities and equity	₩	102,123,873	103,404,199

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of comprehensive income
for each of the three-month periods ended March 31, 2025 and 2024 (Unaudited)

		For the three-month period ended March 31 (Unaudited)	
(in millions of Won, except per share information)	Notes	2025	2024
Revenue	25,26,33	₩ 17,436,776	18,051,950
Cost of sales	26,30	(16,100,898)	(16,723,117)
Gross profit		1,335,878	1,328,833
Selling and administrative expenses	21,27,30		
Other administrative expenses		(715,583)	(685,448)
Selling expenses		(51,854)	(60,363)
Operating profit		568,441	583,022
Share of profit of equity-accounted investees, net	9	65,284	77,818
Finance income and costs	21,28		
Finance income		804,679	1,434,301
Finance costs		(948,161)	(1,258,182)
Other non-operating income and expenses	21,29,30		
Other non-operating income		132,865	57,429
Other non-operating expenses		(113,150)	(161,877)
Profit before income tax		509,958	732,511
Income tax expense	31	(165,723)	(124,696)
Profit for the period, net of tax		344,235	607,815
Other comprehensive income (loss)			
Items that will not be reclassified subsequently to profit or loss:			
Capital adjustment arising from investments in equity-accounted investees		(5,627)	1,035
Foreign currency translation differences		7,007	58,654
Remeasurements of defined benefit plans	19	(664)	5,518
Net changes in fair value of equity investments at fair value through other comprehensive income	21	39,274	7,648
Items that are or may be reclassified subsequently to profit or loss:			
Capital adjustment arising from investments in equity-accounted investees		1,295	77,149
Foreign currency translation differences		29,960	204,605
Gains or losses on valuation of derivatives	21	(126)	(407)
Other comprehensive income, net of tax		71,119	354,202
Total comprehensive income		₩ 415,354	962,017
Profit for the period attributable to			
Owners of the controlling company		₩ 302,295	540,715
Non-controlling interests		41,940	67,100
Profit for the period, net		₩ 344,235	607,815
Total comprehensive income attributable to :			
Owners of the controlling company		₩ 369,836	807,671
Non-controlling interests		45,518	154,346
Total comprehensive income		₩ 415,354	962,017
Earnings per share (in Won)	32		
Basic earnings per share (in Won)		3,998	7,126
Diluted earnings per share (in Won)		₩ 3,998	5,719

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of changes in equity
for each of the three-month periods ended March 31, 2025 and 2024 (Unaudited)

(in millions of Won)

	Attributable to owners of the controlling company						Non-controlling interests	Total
	Share capital	Capital surplus	Other components of equity	Treasury shares	Retained earnings	Subtotal		
Balance as of January 1, 2024	₩ 482,403	1,663,334	67,256	(1,889,658)	53,857,514	54,180,849	5,483,048	59,663,897
Comprehensive income:								
Profit for the period	-	-	-	-	540,715	540,715	67,100	607,815
Other comprehensive income (loss)								
Remeasurements of defined benefit plans, net of tax	-	-	-	-	3,831	3,831	1,687	5,518
Capital adjustment arising from investments in equity-accounted investees, net of tax	-	-	51,114	-	-	51,114	27,071	78,185
Net changes in fair value of equity investments at fair value through other comprehensive income, net of tax	-	-	(10,413)	-	18,123	7,710	(62)	7,648
Foreign currency translation differences, net of tax	-	-	204,605	-	-	204,605	58,654	263,259
Loss on valuation of derivatives, net of tax	-	-	(304)	-	-	(304)	(103)	(407)
Total comprehensive income	-	-	245,002	-	562,669	807,671	154,347	962,018
Transactions with owners of the controlling company, recognized directly in equity:								
Year-end dividends	-	-	-	-	(189,691)	(189,691)	(75,759)	(265,450)
Changes in the scope of consolidation	-	-	-	-	-	-	32,505	32,505
Changes in ownership interest in subsidiaries	-	(8,897)	-	-	-	(8,897)	12,344	3,447
Others	-	1,162	323	-	1,062	2,547	(2,194)	353
Total transactions with owners of the controlling company	-	(7,735)	323	-	(188,629)	(196,041)	(33,104)	(229,145)
Balance as of March 31, 2024 (Unaudited)	₩ 482,403	1,655,599	312,581	(1,889,658)	54,231,554	54,792,479	5,604,291	60,396,770

(continued)

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of changes in equity, continued
for each of the three-month periods ended March 31, 2025 and 2024 (Unaudited)

(in millions of Won)

	Attributable to owners of the controlling company						Non-controlling interests	Total
	Share capital	Capital surplus	Other components of equity	Treasury shares	Retained earnings	Subtotal		
Balance as of January 1, 2025	₩ 482,403	1,648,894	1,155,429	(1,550,862)	53,658,367	55,394,231	6,056,137	61,450,368
Comprehensive income:								
Profit for the period	-	-	-	-	302,295	302,295	41,940	344,235
Other comprehensive income (loss)								
Remeasurements of defined benefit plans, net of tax	-	-	-	-	1,203	1,203	(1,867)	(664)
Capital adjustment arising from investments in equity-accounted investees, net of tax	-	-	(2,167)	-	-	(2,167)	(2,165)	(4,332)
Net changes in fair value of equity investments at fair value through other comprehensive income, net of tax	-	-	37,869	-	803	38,672	602	39,274
Foreign currency translation differences, net of tax	-	-	29,960	-	-	29,960	7,006	36,966
Loss on valuation of derivatives, net of tax	-	-	(126)	-	-	(126)	-	(126)
Total comprehensive income	-	-	65,536	-	304,301	369,837	45,516	415,353
Transactions with owners of the controlling company, recognized directly in equity:								
Year-end dividends	-	-	-	-	(189,052)	(189,052)	(98,005)	(287,057)
Changes in ownership interest in subsidiaries	-	1,335	-	-	-	1,335	90,871	92,206
Retirement of treasury shares	-	-	-	374,545	(374,545)	-	-	-
Others	-	641	-	-	(203)	438	2,416	2,854
Total transactions with owners of the controlling company	-	1,976	-	374,545	(563,800)	(187,279)	(4,718)	(191,997)
Balance as of March 31, 2025 (Unaudited)	₩ 482,403	1,650,870	1,220,965	(1,176,317)	53,398,868	55,576,789	6,096,935	61,673,724

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Interim condensed consolidated statements of cash flows
for each of the three-month periods ended March 31, 2025 and 2024 (Unaudited)

(in millions of Won)	Notes	For the three-month period ended	
		March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
Cash flows from operating activities			
Profit for the period	₩	344,235	607,815
Adjustments for:			
Depreciation		909,721	880,865
Amortization		112,756	122,641
Finance income		(483,184)	(1,065,156)
Finance costs		519,907	906,792
Income tax expense		165,723	124,696
Impairment loss on property, plant and equipment		47,580	40,631
Gain on disposal of property, plant and equipment		(2,163)	(5,997)
Loss on disposal of property, plant and equipment		13,274	13,365
Impairment loss on goodwill and other intangible assets		12	11
Gain on disposal of investments			
in subsidiaries, associates and joint ventures		(25,447)	(18)
Loss on disposal of investments			
in subsidiaries, associates and joint ventures		196	20
Share of profit of equity-accounted investees		(65,284)	(77,818)
Impairment loss on disposal of assets held for sale		4,763	-
Gain on disposal of assets held for sale		(52,148)	-
Loss on disposal of assets held for sale		-	31,222
Expenses related to post-employment benefit		65,522	62,248
Impairment loss on trade and other receivables		24,119	26,265
(Reversal of) Loss on valuation of inventories		(85,294)	164,239
Increase (decrease) to provisions		32,474	(16,364)
Gain on insurance claim		(806)	-
Others, net		(13,834)	(14,590)
		<u>1,167,887</u>	<u>1,193,052</u>
Changes in operating assets and liabilities	35	(422,567)	(1,326,171)
Interest received		111,661	173,249
Interest paid		(318,223)	(348,419)
Dividends received		73,502	153,228
Income taxes paid		(287,716)	(167,612)
Net cash provided by operating activities	₩	<u>668,779</u>	<u>285,142</u>

(continued)

POSCO HOLDINGS INC. and Subsidiaries
Interim condensed consolidated statements of cash flows, consolidated
for each of the three-month periods ended March 31, 2025 and 2024 (Unaudited)

(in millions of Won)	Notes	For the three-month period ended	
		March 31, 2025 (Unaudited)	March 31, 2024 (Unaudited)
Cash flows from investing activities			
Acquisitions of short-term financial instruments	₩	(4,879,919)	(4,459,494)
Proceeds from disposal of short-term financial instruments		4,299,071	4,797,564
Increase in loans		(75,171)	(296,521)
Collection of loans		82,448	256,327
Acquisitions of securities		(290,774)	(275,226)
Proceeds from disposal of securities		212,246	435,388
Acquisitions of long-term financial instruments		(1,437)	(3,437)
Acquisitions of investment in associates and joint ventures		(17,669)	(34,511)
Proceeds from disposal of investment in associates and joint ventures		6,860	1,800
Acquisitions of investment property		-	(1,516)
Proceeds from disposal of investment property		538	27
Acquisitions of property, plant and equipment		(1,371,538)	(1,843,327)
Proceeds from disposal of property, plant and equipment		6,369	702
Acquisitions of intangible assets		(148,599)	(77,683)
Proceeds from disposal of intangible assets		1,201	3,918
Proceeds from disposal of assets held for sale		199,886	-
Collection of lease receivables		7,653	7,171
Cash inflow from insurance claim		741	-
Others, net		1,962	(3,188)
Net cash used in investing activities	₩	(1,966,132)	(1,492,006)
Cash flows from financing activities			
Origination of borrowings		2,172,812	1,251,862
Repayment of borrowings		(1,821,797)	(1,139,406)
Repayment of short-term borrowings, net		762,707	1,167,241
Capital contribution from non-controlling interests		110,556	36,505
Payment of cash dividends		(3,278)	(734)
Repayment of lease liabilities		(50,078)	(40,779)
Others, net		132,622	71,008
Net cash provided by financing activities	₩	1,303,544	1,345,697
Effect of exchange rate fluctuation on cash held		5,920	63,891
Net increase in cash and cash equivalents		12,111	202,724
Changes in cash classified as assets held for sale		(7,466)	-
Cash and cash equivalents at beginning of the period		6,767,898	6,670,879
Cash and cash equivalents at end of the period	₩	6,772,543	6,873,603

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements
March 31, 2025 and 2024 (Unaudited)

1. General Information

General information about POSCO HOLDINGS INC. (the “Company”), the controlling company, and its subsidiaries in the scope of consolidation, such as 57 domestic subsidiaries including POSCO INC. and 136 foreign subsidiaries including POSCO America Corporation, and 115 associates and joint ventures (collectively referred to as the “Group”) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (“KIFRS”) 1110 is as follows:

The controlling company

POSCO HOLDINGS INC., the controlling company, was established on April 1, 1968, under the Commercial Act of the Republic of Korea. The shares of the Company have been listed on the Korea Exchange since June 10, 1988. The Company operates an investment business that controls and manages subsidiaries, etc. through ownership of their shares.

On March 2, 2022, the Company established a new subsidiary, POSCO, by a vertical spin-off of its steel business (which is wholly owned by the surviving company) on March 1, 2022, and changed the name of the surviving company to POSCO HOLDINGS INC.

As of March 31, 2025, the shares of POSCO HOLDINGS INC. are listed on the Korea Exchange, while its ADRs are listed on the New York Stock Exchanges.

2. Basis of Preparation

Statement of compliance

The interim condensed consolidated financial statements have been prepared in accordance with KIFRS 1034 *Interim Financial Reporting*, as prescribed in the *Act on External Audit of Stock Companies* of the Republic of Korea. The accompanying interim condensed consolidated financial statements have been translated into English from the Korean language financial statements. In the event of any differences in interpreting the financial statements or the independent auditor’s review report thereon, the Korean version, which is used for regulatory reporting purposes, shall prevail.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the Group’s annual financial statements as of December 31, 2024. Selected explanatory notes are included to explain events and transactions that are significant to an understanding of the changes in financial position and performance of the Group incurred after December 31, 2024. These interim condensed consolidated financial statements do not include all of the disclosures required for full annual financial statements.

2. Basis of Preparation (cont'd)

Use of estimates and judgments

(a) Judgments, assumptions and estimation uncertainties

The preparation of the interim condensed consolidated financial statements in conformity with KIFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period prospectively.

(b) Measurement of fair value

The Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities. The Group has an established control framework with respect to the measurement of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the financial officer.

The valuation team regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that such valuations meet the requirements of KIFRS including the level in the fair value hierarchy in which such valuation techniques should be classified.

Significant valuation issues are reported to the Group's Audit Committee.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.

- Level 1 - unadjusted quoted prices in active markets for identical assets or liabilities.
- Level 2 - inputs other than quoted prices included in Level 1 that are observable for the assets or liabilities, either directly or indirectly.
- Level 3 - inputs for the assets or liabilities that are not based on observable market data.

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement. The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

3. Summary of Material Accounting Policy Information

Except for the items described below, the accounting policies applied by the Group in these interim condensed consolidated financial statements are the same as those applied to the consolidated financial statements as of and for the year ended December 31, 2024.

Changes in accounting policies

(a) Amendments to KIFRS 1021: *Lack of Exchangeability*

The amendments to KIFRS 1021 *The Effects of Changes in Foreign Exchange Rates* specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require the disclosure of information that enables users of its financial statements to understand how the currency that is not exchangeable into the other currency affects, or is expected to affect, the Group's financial performance, financial position, and cash flows. The amendments will be effective for annual reporting periods beginning on or after January 1, 2025. When applying the amendment, the Group is not required to restate comparative information

The amendments are not expected to have a material impact on the Group's interim condensed consolidated financial statements.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
March 31, 2025 and 2024 (Unaudited)

4. Trade Accounts and Notes Receivable

Trade accounts and notes receivable as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	March 31, 2025	December 31, 2024
Current		
Trade accounts and notes receivable	₩ 9,951,046	9,654,940
Due from customers for contract work	1,533,458	1,488,180
Less: Allowance for doubtful accounts	(345,598)	(321,501)
	<u>₩ 11,138,906</u>	<u>10,821,619</u>
Non-current		
Trade accounts and notes receivable	₩ 79,803	72,387
Less: Allowance for doubtful accounts	(44,950)	(44,608)
	<u>₩ 34,853</u>	<u>27,779</u>

The Group discounted trade accounts receivable in accordance with trade accounts receivable factoring agreements with financial institutions for the three-month period ended March 31, 2025 and the year ended December 31, 2024. This transaction is a transaction with recourse rights because the Group is obligated to pay the amount to the bank, etc. if the trade accounts receivable are not recovered at maturity, and the transaction is accounted for as secured borrowing. As of March 31, 2025 and December 31, 2024, the book value of the trade accounts receivable from the transaction is ₩489,921 million and ₩119,076 million, respectively, and the amount is included in the short-term borrowings.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
March 31, 2025 and 2024 (Unaudited)

5. Other Receivables

Other receivables as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	December 31, 2024
Current			
Short-term loans	₩	358,323	375,244
Other accounts receivable		1,601,957	1,671,039
Accrued income(* 1)		320,847	293,985
Deposits		57,460	80,007
Others		38,079	28,480
Lease receivables		15,516	18,224
Less: Allowance for doubtful accounts		(198,766)	(205,656)
	₩	<u>2,193,416</u>	<u>2,261,323</u>
Non-current			
Long-term loans(* 1)	₩	1,269,774	1,247,255
Other accounts receivable		195,587	192,736
Accrued income		199,877	189,565
Deposits		272,001	142,698
Lease receivables		73,933	76,680
Less: Allowance for doubtful accounts		(546,282)	(542,605)
	₩	<u>1,464,890</u>	<u>1,306,329</u>

(*1) The Group recognized an allowance for doubtful accounts of ₩292,500 million for all of the other receivables from FQM Australia Holdings Pty Ltd., an associate, due to low possibility of collecting these receivables.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
March 31, 2025 and 2024 (Unaudited)

6. Other Financial Assets

Other financial assets as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	December 31, 2024
Current			
Derivatives assets	₩	413,551	465,178
Debt securities		492,365	400,771
Deposit instruments(* 1)		7,475,125	6,420,797
Short-term financial instruments(* 1)		756,805	1,212,643
	₩	<u>9,137,846</u>	<u>8,499,389</u>
Non-current			
Derivatives assets	₩	366,943	497,698
Equity securities(* 2)		1,186,741	1,171,544
Debt securities		119,396	115,601
Other securities(* 2)		760,731	762,177
Deposit instruments(* 1)		28,961	24,631
	₩	<u>2,462,772</u>	<u>2,571,651</u>

(*1) As of March 31, 2025 and December 31, 2024, financial instruments amounting to ₩96,287 million and ₩98,116 million, respectively, are restricted in use for financial arrangements, pledge and others.

(*2) As of March 31, 2025 and December 31, 2024, ₩183,190 million and ₩182,862 million of equity and other securities, respectively, have been provided as collateral for borrowings, construction projects and others.

POSCO HOLDINGS INC. and its subsidiaries
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7. Inventories

(a) Inventories as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	December 31, 2024
Finished goods	₩	2,494,077	2,741,236
Merchandise		1,101,267	1,166,464
Semi-finished goods		2,634,597	2,659,707
Raw materials		3,445,106	3,764,453
Fuel and materials		1,057,003	1,038,854
Construction inventories		185,874	200,825
Materials-in-transit		2,640,828	2,889,334
Others		111,713	118,391
		<u>13,670,465</u>	<u>14,579,264</u>
Less: Allowance for inventories valuation(*1)		<u>(351,250)</u>	<u>(435,764)</u>
	₩	<u>13,319,215</u>	<u>14,143,500</u>

(*1) For each of the three-month periods ended March 31, 2025 and 2024, allowance for inventories valuation decreased by ₩85,294 million and ₩73,505 million, respectively.

(b) The allowances for inventories valuation by item as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	December 31, 2024
Finished goods	₩	168,571	187,902
Merchandise		13,123	14,288
Semi-finished goods		67,647	103,751
Raw materials		86,209	113,413
Fuel and materials		5,893	6,060
Construction inventories		5,980	6,420
Others		3,827	3,930
	₩	<u>351,250</u>	<u>435,764</u>

POSCO HOLDINGS INC. and its subsidiaries
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8. Assets Held for Sale

Details of assets held for sale as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	December 31, 2024
Asset			
Cash and cash equivalents		7,466	-
Account receivables		21,453	-
Inventories		13,070	-
Equity securities(* 1)		492,418	604,439
Property, plant and equipment		89,470	4,319
Intangible assets		501	-
Others		1,236	-
	₩	<u>625,614</u>	<u>608,758</u>
Liability			
Other receivables	₩	(32,905)	-

(*1) Including equity securities of Nippon Steel Corporation amounting to ₩492,418 million, which have been classified as assets held for sale during the year ended December 31, 2024.

POSCO HOLDINGS INC. and its subsidiaries
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9. Investments in Associates and Joint ventures

(a) Details of investments in associates as of March 31, 2025 and December 31, 2024 are as follows:

Company	March 31, 2025			December 31, 2024	
	Number of shares	Ownership (%)	Acquisition cost	Book value	Book value
[Domestic]					
Samcheok Blue Power Co.,Ltd.(* 1)	4,507,138	34.00	₩ 473,093	₩ 414,347	392,269
Chun-cheon Energy Co., Ltd.(* 1)	17,308,143	49.10	86,541	14,054	14,054
Pocheon-Hwado Highway Corp.(* 1)	7,109,230	27.89	35,546	15,189	14,834
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd	944,920	29.53	4,725	12,332	12,401
PCC Amberstone Private Equity Fund 1(* 2)	4,959,964,179	8.80	4,960	5,177	6,181
Others(* 1)				121,821	122,688
				<u>582,920</u>	<u>562,427</u>
[Foreign]					
South-East Asia Gas Pipeline Company Ltd.	135,219,000	25.04	107,269	279,107	279,349
9404-5515 Quebec Inc.	284,463,243	25.85	328,509	411,796	426,276
AMCI (WA) PTY LTD	49	49.00	209,664	67,843	68,478
KOREA LNG LTD.	2,400	20.00	135,205	19,766	25,622
PT. Wampu Electric Power(* 1)	8,708,400	20.00	10,054	17,016	17,680
POS-SeAH Steel Wire(Nantong) Co., Ltd.	50	25.00	4,723	10,948	10,713
Others(* 1)				239,204	241,841
				<u>1,045,680</u>	<u>1,069,959</u>
				<u>₩ 1,628,600</u>	<u>1,632,386</u>

(*1) As of March 31, 2025 and December 31, 2024, investments in associates amounting to ₩474,936 million and ₩452,614 million, respectively, are provided as collateral in relation to the associates' borrowings.

(*2) As of March 31, 2025, the entity is classified as an associate since the Group has significant influence over the investee although the Group's percentage of ownership is less than 20%, considering the structure of the entity's Board of Directors and others.

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9. Investments in Associates and Joint ventures (cont'd)

(b) Details of investments in joint ventures as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)	March 31, 2025				December 31, 2024
	Number of shares	Ownership (%)	Acquisition cost	Book value	Book value
[Domestic]					
POSCO MC MATERIALS	11,568,000	60.00	₩ 115,680	₩ 151,414	153,839
SNNC(*1)	18,130,000	49.00	90,650	36,813	38,046
Others				13,585	10,042
				<u>201,812</u>	<u>201,927</u>
[Foreign]					
Roy Hill Holdings Pty Ltd(*1)	13,117,972	12.50	1,528,672	1,394,313	1,397,824
POSCO-NPS Niobium LLC	325,050,000	50.00	364,609	476,789	477,898
KOBRASCO	2,010,719,185	50.00	32,950	131,710	119,820
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	-	25.00	61,961	130,939	126,906
PT NICOLE METAL INDUSTRY(*2)	137,488,235	49.00	540,604	577,038	578,604
HBIS-POSCO Automotive Steel Co., Ltd	-	50.00	235,251	168,461	179,841
Others				22,583	23,587
				<u>2,901,833</u>	<u>2,904,480</u>
			₩	<u>3,103,645</u>	<u>3,106,407</u>

(*1) As of March 31, 2025 and December 31, 2024, the investments in joint ventures are provided as collateral in relation to the joint ventures' borrowings.

(*2) During the year ended December 31, 2024, the Group acquired ₩247,824 million of additional investment in joint ventures by participating in PT NICOLE METAL INDUSTRY's capital increase.

POSCO HOLDINGS INC. and its subsidiaries
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9. Investments in Associates and Joint ventures (cont'd)

(c) Changes in investments in associates and joint ventures for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

1) For the three-month period ended March 31, 2025

(in millions of Won)

Company	December 31, 2024 Book value	Acquisition	Dividends	Share of profits (losses)	Other increase (decrease)(*1)	March 31, 2025 Book value
[Domestic]						
Samcheok Blue Power Co., Ltd.	₩ 392,269	17,509	(2,795)	7,364	-	414,347
SNIC	38,046	-	-	(1,233)	-	36,813
Chun-cheon Energy Co., Ltd	14,054	-	-	(80)	80	14,054
Pocheon-Hwado Highway Corp.	14,834	-	-	355	-	15,189
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co., Ltd	12,401	-	-	(70)	1	12,332
PCC Amberstone Private Equity Fund 1	6,181	-	-	(193)	(811)	5,177
POSCO M/C MATERIALS	153,839	-	(3,000)	575	-	151,414
Others	132,730	160	(650)	2,072	1,094	135,406
	<u>764,354</u>	<u>17,669</u>	<u>(6,445)</u>	<u>8,790</u>	<u>364</u>	<u>784,732</u>
[Foreign]						
South-East Asia Gas Pipeline Company Ltd.	279,349	-	(11,941)	17,136	(5,437)	279,107
9404-5515 Quebec Inc.	426,276	-	(20,259)	6,674	(895)	411,796
AMCI (WA) PTY LTD	68,478	-	-	(1,146)	511	67,843
KOREA LNG LTD.	25,622	-	(1,498)	1,501	(5,859)	19,766
PT. Wampu Electric Power	17,680	-	(875)	257	(46)	17,016
POS-SeAH Steel Wire(Nantong) Co., Ltd.	10,713	-	-	200	35	10,948
Roy Hill Holdings Pty Ltd	1,397,824	-	(62,937)	42,651	16,775	1,394,313
POSCO-NPS Niobium LLC	477,898	-	-	29	(1,138)	476,789
KOBRASCO	119,820	-	-	3,407	8,483	131,710
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	126,906	-	-	3,590	443	130,939
PT NICOLE METAL INDUSTRY	578,604	-	-	(379)	(1,187)	577,038
HBIS-POSCO Automotive Steel Co., Ltd	179,841	-	-	(11,840)	460	168,461
Others	265,428	-	(1,893)	(5,586)	3,838	261,787
	<u>3,974,439</u>	<u>-</u>	<u>(99,403)</u>	<u>56,494</u>	<u>15,983</u>	<u>3,947,513</u>
₩	<u>4,738,793</u>	<u>17,669</u>	<u>(105,848)</u>	<u>65,284</u>	<u>16,347</u>	<u>4,732,245</u>

(*1) Other increase (decrease) represents the changes in investments in associates and joint ventures due to disposals and change in capital adjustments effect from translations of financial statements of foreign investees and others for the three-month period ended March 31, 2025.

POSCO HOLDINGS INC. and its subsidiaries
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9. Investments in Associates and Joint ventures (cont'd)

2) For the year ended December 31, 2024

(in millions of Won)

Company	December 31, 2023 Book value	Acquisition	Dividends	Share of profits (losses)	Other increase (decrease)(* 1)	December 31, 2024 Book value
[Domestic]						
Samcheok Blue Power Co., Ltd.	₩ 323,521	25,680	(10,993)	54,140	(79)	392,269
SNNC	100,692	-	-	(61,898)	(748)	38,046
Chun-cheon Energy Co., Ltd	15,040	-	-	1,807	(2,793)	14,054
Pocheon-Hwado Highway Corp.	23,998	-	-	(9,164)	-	14,834
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co., Ltd	13,967	-	-	(384)	(1,182)	12,401
PCC Amberstone Private Equity Fund 1	8,904	175	(490)	(484)	(1,924)	6,181
POSCO MC MATERIALS	155,748	-	(1,800)	403	(512)	153,839
Others	150,985	12,362	(4,999)	(6,802)	(18,816)	132,730
	792,855	38,217	(18,282)	(22,382)	(26,054)	764,354
[Foreign]						
South-East Asia Gas Pipeline Company Ltd.	287,282	-	(64,208)	45,923	10,352	279,349
AES Mong Duong Power Company Limited(* 2)	230,699	-	(34,821)	(82,075)	(113,803)	-
9404-S515 Quebec Inc.	346,724	-	(17,764)	35,241	62,075	426,276
AMCI (WA) PTY LTD	60,225	-	-	(5,127)	13,380	68,478
NCR LLC	253,121	4,275	-	(266,425)	9,029	-
KOREA LNG LTD.	58,759	-	(17,829)	17,714	(33,022)	25,622
Nickel Mining Company SAS	87,967	-	-	(94,353)	6,386	-
ZHEJIANG HUAYOU-POSCO ESM CO., LTD	105,300	-	-	(117,143)	11,843	-
PT. Wampu Electric Power	15,632	-	(1,764)	1,238	2,574	17,680
POS-SeAH Steel Wire(Nantong) Co., Ltd.	8,642	-	-	573	1,498	10,713
Roy Hill Holdings Pty Ltd	1,400,009	-	(284,541)	203,130	79,226	1,397,824
POSCO-NPS Niobium LLC	419,192	-	(29,225)	29,336	58,595	477,898
KOBRASCO	99,768	-	(5,761)	37,914	(12,101)	119,820
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	111,001	-	(10,772)	14,207	12,470	126,906
DM SA/AMSA	16,572	-	-	(17,299)	727	-
PT NICOLE METAL INDUSTRY	284,351	247,824	-	(315)	46,744	578,604
HBIS-POSCO Automotive Steel Co., Ltd	208,765	-	-	(49,480)	20,556	179,841
Others	233,400	7,860	(26,222)	12,865	37,525	265,428
	4,227,409	259,959	(492,907)	(234,076)	214,054	3,974,439
₩	5,020,264	298,176	(511,189)	(256,458)	188,000	4,738,793

(*1) Other increase (decrease) represents the changes in investments in associates and joint ventures due to disposals and change in capital adjustments effect from translations of financial statements of foreign investees and others for the year ended December 31, 2024.

(*2) During the year ended December 31, 2024, the Group determined to sell AES Mong Duong Power Company Limited and classified it as assets held for sale.

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9. Investments in Associates and Joint ventures (cont'd)

(d) Summarized financial information of associates and joint ventures as of and for the three-month period ended March 31, 2025 and the year ended December 31, 2024 is as follows:

1) As of and for the three-month period ended March 31, 2025

(in millions of Won)

Company		Assets	Liabilities	Equity (deficit)	Sales	Net income (loss)
[Domestic]						
Samcheok Blue Power Co.,Ltd.	₩	5,111,103	4,287,622	823,481	99,395	21,074
SNNC		637,109	542,251	94,858	158,661	(661)
Chun-cheon Energy Co., Ltd		545,605	420,321	125,284	105,917	2,090
Pocheon-Hwado Highway Corp.		682,854	590,410	92,444	2,912	997
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd		14,522	3,063	11,459	-	(236)
PCC Amberstone Private Equity Fund 1		63,631	4,779	58,852	534	(2,194)
POSCO MC MATERIALS		372,515	118,246	254,269	54,107	1,333
[Foreign]						
South-East Asia Gas Pipeline Company Ltd.		1,615,842	501,201	1,114,641	125,856	68,432
9404-5515 Quebec Inc.		1,650,839	2,509	1,648,330	-	25,818
FQM Australia Holdings Pty Ltd		61,179	1,502,354	(1,441,175)	6,382	15,441
KOREA LNG LTD.		99,182	352	98,830	8,156	7,507
Nickel Mining Company SAS		523,970	289,935	234,035	47,553	(11,782)
ZHEJIANG HUAYOU-POSCO ESM CO., LTD		339,083	51,301	287,782	19,339	1,174
PT. Wampu Electric Power		202,026	120,010	82,016	3,299	1,239
POS-SeAH Steel Wire(Nantong) Co., Ltd.		100,818	59,898	40,920	34,785	880
Roy Hill Holdings Pty Ltd		10,751,129	2,629,908	8,121,221	1,724,530	432,223
POSCO-NPS Niobium LLC		953,376	-	953,376	-	58
KOBRASCO		269,935	7,120	262,815	9,737	6,814
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.		929,916	433,027	496,889	392,478	14,360
DMSA/AMSA		83,589	777,814	(694,225)	237,335	(1,612,157)
HBIS-POSCO Automotive Steel Co., Ltd		1,017,193	660,710	356,483	114,090	(23,114)
PT NICOLE METAL INDUSTRY		983,079	192,621	790,458	-	(774)

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9. Investments in Associates and Joint ventures (cont'd)

2) As of and for the year ended December 31, 2024

(in millions of Won)

Company	Assets	Liabilities	Equity (deficit)	Sales	Net income (loss)
[Domestic]					
Samcheok Blue Power Co.,Ltd.	₩ 4,770,385	4,013,505	756,880	596,497	177,922
SNNC	656,049	560,530	95,519	690,103	(127,233)
Chun-cheon Energy Co., Ltd	540,333	417,139	123,194	430,679	5,089
Pocheon-Hwado Highway Corp.	690,646	599,199	91,447	21,920	(29,582)
CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd	14,663	2,968	11,695	-	(1,302)
PCC Amberstone Private Equity Fund 1	72,722	2,455	70,267	7	(5,508)
POSCO MC MATERIALS	385,270	127,335	257,935	226,376	1,217
[Foreign]					
South-East Asia Gas Pipeline Company Ltd.	1,634,345	518,743	1,115,602	409,790	183,392
AES Mong Duong Power Company Limited	1,758,256	922,268	835,988	460,672	118,071
9404-5515 Quebec Inc.	1,704,653	-	1,704,653	-	136,320
FQM Australia Holdings Pty Ltd	61,735	1,521,991	(1,460,256)	102,869	(396,146)
KOREA LNG LTD.	128,215	102	128,113	90,578	88,572
Nickel Mining Company SAS	519,560	282,321	237,239	237,102	(27,170)
ZHEJIANG HUAYOU-POSCO ESM CO., LTD	325,284	39,058	286,226	82,254	(7,139)
PT. Wampu Electric Power	209,725	124,359	85,366	19,133	6,191
POS-SeAH Steel Wire(Nantong) Co., Ltd.	98,919	58,972	39,947	139,499	2,145
Roy Hill Holdings Pty Ltd	10,460,434	2,356,265	8,104,169	7,179,077	2,038,555
POSCO-NPS Niobium LLC	955,592	-	955,592	-	57,722
KOBRASCO	282,087	43,052	239,035	118,408	74,690
BX STEEL POSCO Cold Rolled Sheet Co., Ltd.	1,180,532	699,775	480,757	1,595,656	56,830
DMSA/AMSA	3,364,786	3,468,220	(103,434)	694,120	(571,215)
HBIS-POSCO Automotive Steel Co., Ltd	1,024,831	645,671	379,160	518,808	(90,757)
PT NICOLE METAL INDUSTRY	818,168	25,039	793,129	-	(644)

10. Joint Operations

Details of significant joint operations that the Group is participating in as a party to a joint arrangement as of March 31, 2025 are as follows:

Joint operations	Operation	Ownership (%)	Location
Myanmar A-1/A-3 mine	Mine development and gas production	51.00	Myanmar
Offshore midstream	Gas transportation facility	51.00	Myanmar
Mt. Thorley J/V	Mine development	20.00	Australia
POSMAC J/V	Mine development	20.00	Australia

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11. Investment Property

Changes in the carrying amount of investment property for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

(a) For the three-month period ended March 31, 2025

(in millions of Won)		Beginning	Disposals	Depreciation	Others(* 1)	Ending
Land	₩	866,450	(510)	-	430	866,370
Buildings		942,851	(189)	(7,170)	(6,415)	929,077
Structures		1,755	-	(12)	(100)	1,643
Right of use assets		144,840	(28)	(1,403)	504	143,913
	₩	<u>1,955,896</u>	<u>(727)</u>	<u>(8,585)</u>	<u>(5,581)</u>	<u>1,941,003</u>

(*1) Including reclassification resulting from changing purpose of use, adjustment of foreign currency translation difference and others.

(b) For the year ended December 31, 2024

(in millions of Won)		Beginning	Acquisitions	Business Combination(*1)	Disposals	Depreciation	Impairment loss	Others(*2)	Ending
Land	₩	787,304	3,755	59,766	(47,137)	-	(215)	62,977	866,450
Buildings		655,786	1,782	355,155	(34,419)	(34,179)	(9,776)	8,502	942,851
Structures		1,873	-	-	-	(911)	-	793	1,755
Right of use assets		171,331	-	-	(107)	(6,547)	-	(19,837)	144,840
	₩	<u>1,616,294</u>	<u>5,537</u>	<u>414,921</u>	<u>(81,663)</u>	<u>(41,637)</u>	<u>(9,991)</u>	<u>52,435</u>	<u>1,955,896</u>

(*1) During the year ended December 31, 2024, RNR Logistics and others were included as subsidiaries, and the Group has included the effect of the increase in investment properties in the business combination.

(*2) Including reclassification resulting from changing purpose of use, adjustment of foreign currency translation difference and others.

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12. Property, Plant and Equipment

(a) Changes in the carrying amount of property, plant and equipment for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

1) For the three-month period ended March 31, 2025

(in millions of Won)		Beginning	Acquisitions	Disposals	Depreciation	Impairment loss	Others(*1)	Ending
Land	₩	3,335,875	121	-	-	-	49,761	3,385,757
Buildings		5,280,968	1,098	(308)	(97,889)	-	430,706	5,614,575
Structures		3,860,523	1,902	(2,579)	(80,732)	(4,447)	120,766	3,895,433
Machinery and equipment		18,311,678	18,740	(5,323)	(631,755)	(43,133)	739,941	18,390,148
Vehicles		89,975	1,944	(627)	(9,882)	-	4,116	85,526
Tools		134,501	3,238	(56)	(13,540)	-	843	124,986
Furniture and fixtures		200,033	3,670	(119)	(17,747)	-	46,401	232,238
Lease assets		970,634	62,699	-	(47,116)	-	(2,237)	983,980
Bearer plants		139,451	-	(66)	(2,475)	-	(3,821)	133,089
Construction-in-progress		7,523,190	1,251,739	(5)	-	-	(1,495,029)	7,279,895
	₩	<u>39,846,828</u>	<u>1,345,151</u>	<u>(9,083)</u>	<u>(901,136)</u>	<u>(47,580)</u>	<u>(108,553)</u>	<u>40,125,627</u>

(*1) Presenting assets transferred from construction-in-progress to intangible assets and other property, plant and equipment, reclassifications resulting from change in purpose of use, adjustments of foreign currency translation differences and others.

2) For the year ended December 31, 2024

(in millions of Won)		Beginning	Acquisitions	Disposals	Depreciation	Impairment loss(* 2,3)	Others(* 1)	Ending
Land	₩	3,290,244	20,523	(6,061)	-	(6,620)	37,789	3,335,875
Buildings		4,427,632	14,002	(11,137)	(346,334)	(67,797)	1,264,602	5,280,968
Structures		3,081,524	11,663	(4,497)	(306,017)	(15,328)	1,093,178	3,860,523
Machinery and equipment		16,539,192	179,457	(47,511)	(2,484,915)	(385,367)	4,510,822	18,311,678
Vehicles		79,595	17,353	(1,487)	(39,263)	(56)	33,833	89,975
Tools		128,865	28,731	(673)	(54,966)	(1,573)	34,117	134,501
Furniture and fixtures		189,887	27,966	(2,380)	(70,561)	(3,260)	58,381	200,033
Lease assets		998,305	132,219	(18,706)	(177,475)	(1,994)	38,285	970,634
Bearer plants		137,331	-	(27)	(9,602)	-	11,749	139,451
Construction-in-progress		6,333,673	7,634,826	(3,482)	-	(128,119)	(6,313,708)	7,523,190
	₩	<u>35,206,248</u>	<u>8,066,740</u>	<u>(95,961)</u>	<u>(3,489,133)</u>	<u>(610,114)</u>	<u>769,048</u>	<u>39,846,828</u>

(*1) Presenting assets transferred from construction-in-progress to intangible assets and other property, plant and equipment, reclassifications resulting from change in purpose of use, adjustments of foreign currency translation differences and others.

(*2) The Group calculated the net fair value of individual assets, such as steelmaking plant no. 1 and blast furnace no. 4 in Pohang, whose operation was suspended due to operation plan changes, to estimate recoverable amount and recognized an impairment loss of ₩227,239 million for property, plant and equipment during the year ended December 31, 2024.

(*3) The Group identified certain portion of the anode/cathode material assets that were in long-term idle status or expected to fall short of the anticipated economic performance during the year ended December 31, 2024. The Group calculated the net fair value of such individual assets to estimate the recoverable amount and recognized an impairment loss of ₩307,911 million for assets whose recoverable amounts are less than their carrying amounts.

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12. Property, Plant and Equipment (cont'd)

(b) Changes in the carrying amount of right-of-use assets presented as investment properties and property, plant and equipment for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

1) For the three-month period ended March 31, 2025

<i>(in millions of Won)</i>		Beginning	Acquisitions	Depreciation	Impairment loss	Others	Ending
Land	₩	348,918	5,564	(4,066)	-	(6,226)	344,190
Buildings and structures		154,747	48,794	(15,102)	-	(7,101)	181,338
Machinery and equipment		346,642	2,703	(11,809)	-	9,339	346,875
Vehicles		45,071	5,232	(5,069)	-	(982)	44,252
Ships		196,070	-	(5,855)	-	-	190,215
Others		24,026	406	(6,618)	174	3,035	21,023
	₩	<u>1,115,474</u>	<u>62,699</u>	<u>(48,519)</u>	<u>174</u>	<u>(1,935)</u>	<u>1,127,893</u>

2) For the year ended December 31, 2024

<i>(in millions of Won)</i>		Beginning	Acquisitions	Depreciation	Impairment loss	Others	Ending
Land	₩	363,789	1,542	(17,501)	(1,994)	3,082	348,918
Buildings and structures		151,366	58,116	(54,092)	-	(643)	154,747
Machinery and equipment		355,604	37,204	(47,797)	-	1,631	346,642
Vehicles		48,228	12,501	(20,291)	-	4,633	45,071
Ships		220,754	-	(24,684)	-	-	196,070
Others		29,895	22,856	(19,657)	-	(9,068)	24,026
	₩	<u>1,169,636</u>	<u>132,219</u>	<u>(184,022)</u>	<u>(1,994)</u>	<u>(365)</u>	<u>1,115,474</u>

(c) The amounts recognized in profit or loss related to leases for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	March 31, 2024
Interest on lease liabilities	₩	11,422	12,346
Expenses related to short-term leases		11,626	18,935
Expenses related to leases of low-value assets		5,053	6,656
	₩	<u>28,101</u>	<u>37,937</u>

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13. Goodwill and Other Intangible Assets

Changes in the carrying amount of goodwill and other intangible assets for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

(a) For the three-month period ended March 31, 2025

<i>(in millions of Won)</i>	Beginning	Acquisitions	Disposals	Amortization	Impairment loss	Others(*2)	Ending
Goodwill	₩ 357,851	-	-	-	-	(223)	357,628
Intellectual property rights	3,247,517	110,781	-	(74,069)	-	15,496	3,299,725
Membership(*1)	136,108	117	(511)	(47)	(12)	(14)	135,641
Development expense	95,041	5,757	-	(7,939)	-	3,848	96,707
Port facilities usage rights	167,996	-	-	(3,711)	-	-	164,285
Exploration and evaluation assets	115,309	11,332	-	-	-	438	127,079
Development assets	86,711	-	-	(135)	-	(208)	86,368
Customer relationships	145,699	-	-	(11,120)	-	13	134,592
Other intangible assets	422,592	33,658	(43)	(15,735)	-	2,870	443,342
₩	4,774,824	161,645	(554)	(112,756)	(12)	22,220	4,845,367

(*1) Estimated useful life of membership is indefinite.

(*2) Presenting assets transferred from construction-in-progress to intangible assets and assets transferred from property, plant and equipment, adjustments of foreign currency translation difference and others.

(b) For the year ended December 31, 2024

<i>(in millions of Won)</i>	Beginning	Acquisitions	Business Combination	Disposals	Amortization	Impairment loss	Others(*2)	Ending
Goodwill	₩ 403,172	-	282	-	-	(46,958)	1,355	357,851
Intellectual property rights	3,029,651	353,175	-	(240)	(272,730)	-	137,661	3,247,517
Membership(*1)	138,184	1,716	-	(4,179)	(180)	29	538	136,108
Development expense	126,818	15,913	-	(22)	(63,684)	(692)	16,708	95,041
Port facilities usage rights	182,411	-	-	-	(14,415)	-	-	167,996
Exploration and evaluation assets	163,446	21,024	-	-	-	-	(69,161)	115,309
Development assets	10,235	543	-	-	(76)	-	76,009	86,711
Customer relationships	196,895	-	-	-	(44,478)	-	(6,718)	145,699
Other intangible assets	463,972	118,563	-	(102,012)	(58,126)	(252)	447	422,592
₩	4,714,784	510,934	282	(106,453)	(453,689)	(47,873)	156,839	4,774,824

(*1) Estimated useful life of membership is indefinite.

(*2) Presenting assets transferred from construction-in-progress to intangible assets and assets transferred from property, plant and equipment, adjustments of foreign currency translation difference and others.

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14. Other Assets

Other assets as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)		March 31, 2025	December 31, 2024
Current			
Advance payments	₩	604,121	509,922
Prepaid expenses		345,104	259,145
Firm commitment asset		3,376	2,489
Other current assets		15,662	15,387
	₩	<u>968,263</u>	<u>786,943</u>
Non-current			
Long-term advance payments	₩	35,500	33,308
Long-term prepaid expenses		22,352	20,689
Others		53,233	79,688
	₩	<u>111,085</u>	<u>133,685</u>

15. Borrowings

(a) Short-term borrowings and current portion of long-term borrowings and others as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)		Lenders	Issuance date	Maturity date	Interest rate (%)	March 31, 2025	December 31, 2024
Short-term borrowings							
Bank overdrafts		JP Morgan and others	May, 2024~ March, 2025	April, 2025~ March, 2026	3.65 ~ 7.40	₩ 60,045	85,892
Short-term borrowings		HSBC and others	April, 2024~ March, 2025	April, 2025~ March, 2026	0.49 ~ 8.10	6,266,307	5,647,199
						<u>6,326,352</u>	<u>5,733,091</u>
Current portion of long-term liabilities							
Current portion of long-term borrowings		Export-Import Bank of Korea and others	December, 2006~ March, 2025	April, 2025~ March, 2026	0.19 ~ 6.40	1,420,607	1,323,002
Current portion of debentures		KB Securities co., Ltd. and others	July, 2015~ March, 2024	April, 2025~ March, 2026	1.68 ~ 5.80	4,770,444	4,024,084
Less: Current portion of discount on debentures issued						(5,893)	(3,483)
Current portion of exchangeable bonds(*1)		Foreign currency exchangeable bonds	September, 2021	September, 2026		40,648	39,053
						<u>6,225,806</u>	<u>5,382,656</u>
						₩ <u>12,552,158</u>	<u>11,115,747</u>

(*1) The Group classified the exchangeable bonds as current liabilities in consideration of the investor's exchange right.

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15. Borrowings (cont'd)

The issuance conditions of the exchangeable bonds issued by the Company are as follows:

	Foreign currency exchangeable bonds
Type of bond	Exchangeable bonds
Aggregate principal amount(* 1)	EUR 27,100,000
Interest rate	- Coupon rate : - - Yield to maturity : (0.78%)
Maturity date	September 1, 2026
Redemption	- Redemption at maturity : Outstanding bond principal, which is not repaid early or which call option is not exercised on, is repaid at maturity as a lump sum - Prepayment : The issuer has call option and the bondholders have put option
Exchange rate	100%
Exchange price(* 2) (Won/share)	433,278
Underlying shares	Registered common shares(treasury shares)
Exchange period	From October 12, 2021 to August 22, 2026
Adjustments for exchange price	Adjusting the exchange price according to the terms and conditions of the bond in the events of reason for adjusting the exchange price such as, bonus issue, share split, share consolidation, change of share type, issuance of options or warranties to shareholders, share dividend, cash dividend, issuance of new shares under the market price.
Put option by bondholders	- In the event of a change of control of the Company - Where the shares issued by the Company are delisted (or suspended for more than 30 consecutive trading days)
Call option by the issuer	- Share price(based on closing price) is higher than 130% of exchange price for more than 20 trading days during 30 consecutive trading days in a row, after 3 years (September 1, 2024) from the closing day to 30 business days before the maturity of bonds - When the outstanding balance of outstanding bonds is less than 10% of the total issuance (Clean-Up Call) - Where additional reasons for tax burden arise due to the amendment of relevant laws and regulations, etc

(*1) Due to put option exercised by bondholders, EUR 1,038,800,000 was redeemed out of the total face value of exchangeable bonds of EUR 1,065,900,000 during the year ended December 31, 2024.

(*2) The exchange price has changed due to cash dividends paid during the three-month period ended March 31, 2025.

The Group has designated exchangeable bonds listed on the Singapore Stock Exchange as financial liabilities measured at fair value through profit or loss. The quoted transaction price is used in fair value measurement, and changes in fair value are recognized in profit or loss.

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15. Borrowings (cont'd)

(b) Long-term borrowings, excluding current portion and others, as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

	Lenders	Issuance date	Maturity date	Interest rate (%)		March 31, 2025	December 31, 2024
Long-term borrowings	Export-Import Bank of Korea and others	September, 2001~ March, 2025	April, 2026~ March, 2040	0.10 ~ 8.50	₩	5,603,487 (49,098)	4,868,703 (51,173)
Less: Present value discount							
Bonds	KB Securities co.,Ltd. and others	July, 2019~ January, 2025	April, 2026~ January, 2033	1.72 ~ 6.38		9,123,470 (38,750)	10,108,600 (44,510)
Less: Discount on debentures issued					₩	14,639,109	14,881,620

(c) Assets pledged as collateral with regard to the borrowings as of March 31, 2025 are as follows:

(in millions of Won)

	Lenders	Book value	Pledged amount
Property, plant and equipment and Investment property	Korea Development Bank and others	₩ 4,228,470	5,064,117
Trade accounts and notes receivable	Korea Development Bank and others	489,921	489,921
Financial instruments	Korea Development Bank and others	66,947	66,947
	₩	4,785,338	5,620,985

16. Other Payables

Other payables as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

		March 31, 2025	December 31, 2024
Current			
Accounts payable	₩	1,538,661	1,652,957
Accrued expenses		1,051,097	1,275,068
Dividend payable		287,961	4,182
Lease liabilities		163,159	161,601
Withholdings		348,087	370,063
	₩	3,388,965	3,463,871
Non-current			
Accounts payable	₩	6,571	6,096
Accrued expenses		13,438	11,979
Lease liabilities		758,572	744,500
Long-term withholdings		52,135	46,437
	₩	830,716	809,012

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17. Other Financial Liabilities

Other financial liabilities as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)		March 31, 2025	December 31, 2024
Current			
Derivative liabilities	₩	34,633	108,786
Financial guarantee liabilities		6,008	4,972
Others		7,116	7,117
	₩	<u>47,757</u>	<u>120,875</u>
Non-current			
Derivative liabilities	₩	4,847	2,236
Financial guarantee liabilities		9,899	8,944
Others		60,798	61,740
	₩	<u>75,544</u>	<u>72,920</u>

18. Provisions

(a) Provisions as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)		March 31, 2025		December 31, 2024	
		Current	Non-current	Current	Non-current
Provision for bonus payments	₩	70,896	71,375	121,757	70,104
Provision for construction warranties		41,654	143,330	49,659	137,201
Provision for legal contingencies and claims(*1)		9,394	79,647	17,960	78,486
Provision for the restoration		10,065	207,561	10,041	197,810
Others(*2)		236,137	94,585	196,613	96,958
	₩	<u>368,146</u>	<u>596,498</u>	<u>396,030</u>	<u>580,559</u>

(*1) The Group recognized probable outflow of resources amounting to ₩67,384 million and ₩80,220 million as provisions for legal contingencies and asserted claim in relation to lawsuits against the Group as of March 31, 2025 and December 31, 2024, respectively.

(*2) According to the *Act on the promotion of the development, use and diffusion of new and renewable energy*, POSCO INTERNATIONAL Corporation is obliged to supply a certain amount of power generated by new and renewable energy sources. In accordance with the Act, POSCO INTERNATIONAL Corporation estimated the cost required to fulfill its obligations, such as insufficient supply of power using new and renewable energy to be borne, and as of March 31, 2025 and December 31, 2024, the Group recognized ₩97,704 million and ₩64,249 million respectively, as provision.

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18. Provisions (cont'd)

(b) Changes in provisions for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

1) For the three-month period ended March 31, 2025

<i>(in millions of Won)</i>		Beginning	Increase	Utilization	Reversal	Others(*1)	Ending
Provision for bonus payments	₩	191,861	35,108	(79,854)	(4,639)	(205)	142,271
Provision for construction warranties		186,860	10,134	(10,342)	(1,284)	(384)	184,984
Provision for legal contingencies and claims		96,446	2,763	(9,341)	(2,026)	1,199	89,041
Provision for the restoration		207,851	13,668	(256)	(4,811)	1,174	217,626
Others		293,571	63,600	(7,253)	(16,114)	(3,082)	330,722
	₩	<u>976,589</u>	<u>125,273</u>	<u>(107,046)</u>	<u>(28,874)</u>	<u>(1,298)</u>	<u>964,644</u>

(*1) Including adjusted foreign currency translation differences and others.

2) For the year ended December 31, 2024

<i>(in millions of Won)</i>		Beginning	Increase	Utilization	Reversal	Others(*1)	Ending
Provision for bonus payments	₩	184,391	224,339	(187,004)	(29,461)	(404)	191,861
Provision for construction warranties		196,758	53,244	(48,471)	(8,274)	(6,397)	186,860
Provision for legal contingencies and claims		73,062	54,929	(12,964)	(19,743)	1,162	96,446
Provision for the restoration		175,820	28,917	(8,311)	(6,485)	17,910	207,851
Others		257,722	255,624	(151,362)	(76,790)	8,377	293,571
	₩	<u>887,753</u>	<u>617,053</u>	<u>(408,112)</u>	<u>(140,753)</u>	<u>20,648</u>	<u>976,589</u>

(*1) Including adjusted foreign currency translation differences and others.

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19. Employee Benefits

(a) Defined contribution plans

The expenses related to defined contribution retirement plans for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

<i>(in millions of Won)</i>		<u>March 31, 2025</u>	<u>March 31, 2024</u>
Expense related to post-employment benefit plans			
under defined contribution plans	₩	18,764	18,669

(b) Defined benefit plans

- 1) The amounts recognized in relation to net defined benefit assets in the statements of financial position as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		<u>March 31, 2025</u>	<u>December 31, 2024</u>
Present value of funded obligations	₩	2,560,339	2,589,246
Fair value of plan assets(*1)		(2,866,194)	(2,962,342)
Present value of non-funded obligations		5,212	7,092
Net defined benefit liabilities	₩	<u>(300,643)</u>	<u>(366,004)</u>

(*1) As of March 31, 2025 and December 31, 2024, the Group recognized net defined benefit assets amounting to ₩360,802 million and ₩409,147 million, respectively, since there are consolidated entities whose fair value of plan assets exceeded the present value of defined benefit obligations.

- 2) The amounts recognized in relation to net defined benefit plan in the interim condensed consolidated statements of comprehensive income for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

(in millions of Won)

		<u>March 31, 2025</u>	<u>December 31, 2024</u>
Current service costs	₩	69,778	67,822
Net interest costs		(4,256)	(5,574)
	₩	<u>65,522</u>	<u>62,248</u>

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20. Other Liabilities

Other liabilities as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

		March 31, 2025	December 31, 2024
Current			
Due to customers for contract work	₩	314,379	491,495
Advances received		313,953	253,171
Unearned revenue		104,961	87,969
Withholdings		267,814	307,753
Firm commitment liability		2,047	10,384
Others(* 1)		24,025	22,726
	₩	<u>1,027,179</u>	<u>1,173,498</u>
Non-current			
Unearned revenue	₩	4,307	4,317
Others(* 1)		92,673	94,942
	₩	<u>96,980</u>	<u>99,259</u>

(*1) As of March 31, 2025 and December 31, 2024, the Group recognized the assumed liability amounting to ₩38,885 million and ₩41,770 million, respectively, related to unfavorable terms of a customer contract compared to market-terms upon the acquisition of Senex Energy Limited.

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21. Financial Instruments

(a) Classification and fair value of financial instruments

- 1) The carrying amount and fair values of financial assets and financial liabilities by levels in the fair value hierarchy as of March 31, 2025 and December 31, 2024 are as follows:

① March 31, 2025

(in millions of Won)

(in millions of Won)		Fair value				
	Book value	Level 1	Level 2	Level 3	Total	
Financial assets						
Fair value through profit or loss						
Derivative assets	₩ 776,609	-	776,609	-	776,609	
Short-term financial instruments	756,805	-	756,805	-	756,805	
Equity securities	76,166	16,263	-	59,903	76,166	
Debt securities	117,502	-	84,500	33,002	117,502	
Other securities	760,731	-	-	760,731	760,731	
Derivative hedging instruments(* 2)	3,885	-	3,885	-	3,885	
Fair value through other comprehensive income						
Equity securities	1,110,575	728,315	-	382,260	1,110,575	
Assets held for sale	492,418	492,418	-	-	492,418	
Financial assets measured at amortized cost(* 1)						
Cash and cash equivalents	6,772,543	-	-	-	-	
Trade accounts and notes receivable	9,653,494	-	-	-	-	
Other receivables	2,919,973	-	-	-	-	
Debt securities	494,259	-	-	-	-	
Deposit instruments	7,504,086	-	-	-	-	
Assets held for sale	28,919	-	-	-	-	
₩	31,467,965	1,236,996	1,621,799	1,235,896	4,094,691	
Financial liabilities						
Fair value through profit or loss						
Derivative liabilities	₩ 36,106	-	36,106	-	36,106	
Borrowings	40,647	40,647	-	-	40,647	
Derivative hedging instruments(* 2)	3,374	-	3,374	-	3,374	
Financial liabilities measured at amortized cost(* 1)						
Trade accounts and notes payable	5,690,532	-	-	-	-	
Borrowings	27,150,620	-	27,328,802	-	27,328,802	
Financial guarantee liabilities	15,907	-	-	-	-	
Others	3,822,229	-	-	-	-	
Other financial Liabilities	67,914	-	-	-	-	
₩	36,827,329	40,647	27,368,282	-	27,408,929	

(*1) Fair value of financial assets and liabilities measured at amortized cost except borrowings approximates their carrying amounts.

(*2) The Group applies hedge accounting which uses forward contracts as hedging instrument in order to hedge the risk of changes in fair value of product prices regarding firm commitments or purchase commitments. Also, the Group applies cash flow hedge accounting which uses currency swap as hedging instrument in order to hedge the risk of interest rate and foreign exchange rate changes in foreign currency which influence cash flow from borrowings.

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21. Financial Instruments (cont'd)

② December 31, 2024

(in millions of Won)

(in millions of Won)		Fair value				
	Book value	Level 1	Level 2	Level 3	Total	
Financial assets						
Fair value through profit or loss						
Derivative assets	₩ 946,393	-	946,393	-	946,393	
Short-term financial instruments	1,212,643	-	1,212,643	-	1,212,643	
Equity securities	52,222	26,792	-	25,430	52,222	
Debt securities	113,728	-	82,699	31,029	113,728	
Other securities	762,177	-	-	762,177	762,177	
Derivative hedging instruments(*2)	16,483	-	16,483	-	16,483	
Fair value through other comprehensive income						
Equity securities	1,119,322	703,181	-	416,141	1,119,322	
Assets held for sale	604,439	604,439	-	-	604,439	
Financial assets measured at amortized cost(*1)						
Cash and cash equivalents	6,767,898	-	-	-	-	
Trade accounts and notes receivable	9,374,217	-	-	-	-	
Other receivables	2,739,523	-	-	-	-	
Debt securities	402,644	-	-	-	-	
Deposit instruments	6,445,428	-	-	-	-	
₩	30,557,117	1,334,412	2,258,218	1,234,777	4,827,407	
Financial liabilities						
Fair value through profit or loss						
Derivative liabilities	₩ 105,187	-	105,187	-	105,187	
Borrowings	39,053	39,053	-	-	39,053	
Derivative hedging instruments(*2)	5,835	-	5,835	-	5,835	
Financial liabilities measured at amortized cost(*1)						
Trade accounts and notes payable	6,161,177	-	-	-	-	
Borrowings	25,958,314	-	26,166,994	-	26,166,994	
Financial guarantee liabilities	13,916	-	-	-	-	
Others	3,895,526	-	-	-	-	
Other financial Liabilities	68,857	-	-	-	-	
₩	36,247,865	39,053	26,278,016	-	26,317,069	

(*1) Fair value of financial assets and liabilities measured at amortized cost except borrowings approximates their carrying amounts.

(*2) The Group applies hedge accounting which uses forward contracts as hedging instrument in order to hedge the risk of changes in fair value of product prices regarding firm commitments or purchase commitments. Also, the Group applies cash flow hedge accounting which uses currency swap as hedging instrument in order to hedge the risk of interest rate and foreign exchange rate changes in foreign currency which influence cash flow from borrowings.

2) Finance income and costs by category of financial instrument for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

① For the three-month period ended March 31, 2025

(in millions of Won)

(in millions of Won)	Finance income and costs						Other comprehensive income (loss)
	Interest income (expense)	Gain and loss on valuation	Gain and loss on foreign currency	Gain and loss on disposal	Others	Total	
Financial assets at fair value							
through profit or loss	₩	-	3,558	-	15,333	1,086	19,977
Derivative assets		-	77,298	-	58,286	-	135,584
Financial assets at fair value							
through other comprehensive income		-	-	-	16,154	16,154	39,274
Financial assets measured at amortized cost		125,672	-	87,102	(20,019)	(4,134)	188,621
Financial liabilities at fair value							
through profit or loss		-	(81)	(1,513)	-	(1,594)	-
Derivative liabilities		-	(28,441)	-	(115,285)	-	(143,726)
Financial liabilities measured at amortized cost		(262,356)	-	(85,459)	-	(10,683)	(358,498)
	₩	(136,684)	52,334	130	(61,685)	2,423	(143,482)
							39,148

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21. Financial Instruments (cont'd)

② For the three-month period ended March 31, 2024

(in millions of Won)	Finance income and costs						Other
	Interest income (expense)	Gain and loss on valuation	Gain and loss on foreign currency	Gain and loss on disposal	Others	Total	comprehensive income (loss)
Financial assets at fair value through profit or loss	₩ -	72,433	-	12,393	92	84,918	-
Derivative assets	-	154,550	-	(42,116)	-	112,434	-
Financial assets at fair value through other comprehensive income	-	-	-	-	18,118	18,118	7,648
Financial assets measured at amortized cost	172,436	-	340,296	(17,429)	(34)	495,269	-
Financial liabilities at fair value through profit or loss	-	144,001	(32,435)	-	-	111,566	-
Derivative liabilities	-	98,899	-	59,745	-	158,644	(407)
Financial liabilities measured at amortized cost	(246,801)	-	(552,891)	-	(5,138)	(804,830)	-
	₩ (74,365)	469,883	(245,030)	12,593	13,038	176,119	7,241

(b) Financial risk management

The Group is exposed to credit risk, liquidity risk and market risk arising from financial assets and liabilities. The Group's financial risk management objectives and policies are consistent with those disclosed in the consolidated financial statements as of and for the year ended December 31, 2024.

22. Share Capital and Capital Surplus

(a) Share capital as of March 31, 2025 and December 31, 2024 is as follows:

(Share, in Won)		March 31, 2025	December 31, 2024
Authorized shares		200,000,000	200,000,000
Par value	₩	5,000	5,000
Issued shares(* 1,2)		80,932,952	82,624,377
Share capital(* 3)	₩	482,403,125,000	482,403,125,000

(*1) As of March 31, 2025, total number of American Depositary Receipts (ADRs) outstanding in overseas stock market amounts to 10,776,164 and such ADRs are equivalent to 2,694,041 shares of common stock.

(*2) Pursuant to the resolution of the Board of Directors' meeting on February 19, 2025, the Company decided to retire 1,691,425 shares using distributable profits, and it was completed on March 31, 2025. As a result, as of March 31, 2025, the Company's total number of issued shares has decreased.

(*3) As of March 31, 2025, the difference between the ending balance of common stock and the aggregate par value of issued common stock is ₩77,738 million due to retirement of 15,547,673 treasury stocks.

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22. Share Capital and Capital Surplus (cont'd)

(b) Capital surplus as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	December 31, 2024
Share premium	₩	463,825	463,825
Gain on disposal of treasury shares		808,994	808,994
Other capital surplus		378,051	376,075
	₩	<u>1,650,870</u>	<u>1,648,894</u>

23. Other components of equity

Details of other components of equity as of March 31, 2025 and December 31, 2024 are as follows:

<i>(in millions of Won)</i>		March 31, 2025	December 31, 2024
Capital adjustment arising from investments in equity-accounted investees	₩	74,702	76,870
Changes in fair value of equity investments at fair value through other comprehensive income		57,935	20,066
Foreign currency translation differences		1,013,031	983,071
Losses on valuation of derivatives		(1,051)	(925)
Others		76,348	76,347
	₩	<u>1,220,965</u>	<u>1,155,429</u>

24. Treasury Shares

Based on the Board of Directors' resolution, the Group holds treasury shares for business purposes including price stabilization. Changes in treasury shares for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

<i>(shares, in millions of Won)</i>	March 31, 2025		December 31, 2024	
	Number of shares	Amount	Number of shares	Amount
Beginning	7,003,598	₩ 1,550,862	8,695,023	₩ 1,889,658
Acquisition of treasury shares	-	-	255,428	92,311
Retirement of treasury shares	(1,691,425)	(374,546)	(1,946,853)	(431,107)
Ending	<u>5,312,173</u>	<u>₩ 1,176,316</u>	<u>7,003,598</u>	<u>₩ 1,550,862</u>

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25. Revenue

(a) Disaggregation of revenue

Details of revenue disaggregated by types of revenue and timing of revenue recognition for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

1) March 31, 2025

(in millions of Won)

(in millions of Won)		Infrastructure						
		Steel	Trading	Construction	Logistics and others	Materials of secondary battery	Others	Total
Types of revenue								
Revenue from sales of goods	₩	9,129,725	5,271,052	-	1,855	617,043	-	15,019,675
Revenue from services		223,413	583,728	26,611	83,204	-	4,945	921,901
Revenue from construction contract		-	-	1,442,395	-	4,141	-	1,446,536
Others		32,108	1,586	939	10,853	-	3,178	48,664
	₩	9,385,246	5,856,366	1,469,945	95,912	621,184	8,123	17,436,776
Timing of revenue recognition								
Revenue recognized at a point in time	₩	9,161,833	5,272,638	10,769	12,708	617,043	3,178	15,078,169
Revenue recognized over time		223,413	583,728	1,459,176	83,204	4,141	4,945	2,358,607
	₩	9,385,246	5,856,366	1,469,945	95,912	621,184	8,123	17,436,776

2) March 31, 2024

(in millions of Won)

(in millions of Won)		Infrastructure				Materials of secondary battery	Others	Total
		Steel	Trading	Construction	Logistics and others			
Types of revenue								
Revenue from sales of goods	₩	9,591,149	4,632,333	-	3,526	897,391	-	15,124,399
Revenue from services		235,862	699,574	25,258	83,633	1,877	3,890	1,050,094
Revenue from construction contract		-	-	1,813,979	-	7,092	-	1,821,071
Others		33,765	1,861	3,638	10,410	-	6,712	56,386
	₩	9,860,776	5,333,768	1,842,875	97,569	906,360	10,602	18,051,950
Timing of revenue recognition								
Revenue recognized at a point in time	₩	9,624,914	4,634,194	12,079	13,936	897,391	6,712	15,189,226
Revenue recognized over time		235,862	699,574	1,830,796	83,633	8,969	3,890	2,862,724
	₩	9,860,776	5,333,768	1,842,875	97,569	906,360	10,602	18,051,950

(b) Details of contract assets and liabilities from contracts with customers as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

		March 31, 2025	December 31, 2024
Receivables			
Trade accounts and notes receivable	₩	9,653,494	9,374,218
Contract assets			
Due from customers for contract work		1,520,264	1,475,180
Contract liabilities			
Advance received		317,055	256,522
Due to customers for contract work		314,379	491,495
Unearned revenue		107,045	89,807

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26. Contract under Input Method

(a) Details of outstanding contracts as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

		March 31, 2025		December 31, 2024	
		Construction segment	Others	Construction segment	Others
Accumulated cost	₩	19,730,030	281,316	27,830,242	262,814
Accumulated contract profit		1,182,000	44,058	1,903,582	43,690
Accumulated contract loss		(590,987)	(11,953)	(707,167)	(1,930)
Accumulated contract revenue		20,321,043	313,421	29,026,657	304,574

(b) Details of due from customers for contract work and due to customers for contract work as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

		March 31, 2025		December 31, 2024	
		Construction segment	Others	Construction segment	Others
Due from customers for contract	₩	1,509,216	24,242	1,473,843	13,716
Due to customers for contract work		(308,337)	(6,042)	(479,546)	(11,949)
	₩	1,200,879	18,200	994,297	1,767

(c) Details of the provisions for construction loss as of March 31, 2025 and December 31, 2024 are as follows:

(in millions of Won)

		March 31, 2025	December 31, 2024
Construction segment	₩	45,506	52,492
Others		871	857
	₩	46,377	53,349

(d) For the three-month period ended March 31, 2025, the total contract revenues and the estimated total contract costs have changed and the impact of such changes on profit before income tax for the current and future periods are as follows:

(in millions of Won)

		Changes in total contract revenue	Changes in estimated total contract costs	Changes in profit (loss) of contract		
				Net income	Future income (loss)	Total
Construction segment	₩	726,302	684,354	(53,010)	94,958	41,948
Others		736	(387)	978	145	1,123
	₩	727,038	683,967	(52,032)	95,103	43,071

The above details of impact on profit for the current and future periods are calculated based on the total contract costs estimated considering the events that occurred for the period from the commencement date of the contract to March 31, 2025 and the estimated total contract revenue as of March 31, 2025. The estimated total contract costs and revenue are subject to change in future periods.

26. Contract under Input Method (cont'd)

(e) Uncertainty of estimates

1) Total contract revenues

Total contract revenues are measured based on contractual amount initially agreed. However, the contract revenues can increase due to additional contract work, claims and incentive payments, or decrease due to penalty when the completion of contract is delayed due to the Group's fault. Therefore, this measurement of contract revenues is affected by the uncertainty of the occurrence of future events.

2) Total contract costs

Contract revenues are recognized based on the percentage of completion, which is measured on the basis of the gross cost amount incurred to date. Total contract costs are estimated based on estimates of future material costs, labor costs, outsourcing costs. There is uncertainty in estimates on future contract costs due to various internal and external factors such as fluctuation of market, the risk of business partner and the experience of project performance and others. The significant assumptions including uncertainty of the estimate of total contract costs are as follows:

	Method of significant assumption
Material cost	Based on recent purchasing price at market price
Labor cost	Based on average monthly and daily labor cost
Outsourcing cost	Based on historical cost over similar project and actual contractual rate

Management reviews estimated contract costs at each reporting period end and adjusts them, if necessary.

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27. Selling and Administrative Expenses

(a) Other administrative expenses

Other administrative expenses for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

<i>(in millions of Won)</i>	March 31, 2025	March 31, 2024
Wages and salaries	₩ 312,768	303,851
Expenses related to post-employment benefits	24,492	23,844
Other employee benefits	82,135	77,529
Travel	11,968	10,377
Depreciation	48,086	40,830
Amortization	28,217	27,213
Communication	3,761	3,890
Electricity	4,723	3,673
Taxes and public dues	19,382	15,237
Rental	9,683	4,765
Repairs	2,611	3,468
Entertainment	3,353	3,993
Advertising	18,237	20,352
Research & development	46,870	49,345
Service fees	53,344	53,347
Vehicles maintenance	2,148	2,008
Industry association fee	3,847	2,321
Conference	6,045	4,817
(Recovery of) Bad debt expenses	25,862	17,739
Others	8,051	16,848
	₩ <u>715,583</u>	<u>685,447</u>

(b) Selling expenses

Selling expenses for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

<i>(in millions of Won)</i>	March 31, 2025	March 31, 2024
Freight and custody expenses	₩ 5,187	6,080
Operating expenses for distribution center	183	265
Sales commissions	17,923	22,054
Sales advertising	94	200
Sales promotion	2,547	2,743
Sample	737	567
Sales insurance premium	9,487	8,239
Contract cost	11,995	17,866
Others	3,700	2,349
	₩ <u>51,853</u>	<u>60,363</u>

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28. Finance Income and Costs

Details of finance income and costs for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

(in millions of Won)

		<u>March 31, 2025</u>	<u>March 31, 2024</u>
Finance income			
Interest income	₩	125,672	172,436
Dividend income		17,240	18,210
Gain on foreign currency transactions		257,329	304,843
Gain on foreign currency translations		231,691	302,527
Gain on derivatives transactions		64,228	78,174
Gain on valuations of derivatives		80,148	300,348
Gain on disposals of financial assets at fair value through profit of loss		16,234	25,287
Gain on valuations of financial assets at fair value through profit or loss		10,651	85,306
Gain on valuations of financial liabilities at fair value through profit or loss		-	144,001
Others		1,486	3,169
	₩	<u>804,679</u>	<u>1,434,301</u>
Finance costs			
Interest expenses	₩	262,356	246,801
Loss on foreign currency transactions		273,721	266,068
Loss on foreign currency translations		215,169	586,332
Loss on derivatives transactions		121,227	60,545
Loss on valuation of derivatives		31,291	46,899
Loss on disposal of trade accounts and notes receivable		20,019	17,429
Loss on disposals of financial assets at fair value through profit or loss		901	12,894
Loss on valuations of financial assets at fair value through profit or loss		7,093	12,873
Loss on valuations of financial liabilities at fair value through profit or loss		81	-
Others		16,303	8,341
	₩	<u>948,161</u>	<u>1,258,182</u>

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29. Other Non-Operating Income and Expenses

Details of other non-operating income and expenses for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

<i>(in millions of Won)</i>	March 31, 2025	March 31, 2024
Other non-operating income		
Recovery of other bad debt expenses	₩ 345	2,322
Gain on disposals of investment		
in subsidiaries, associates and joint ventures	25,447	18
Gain on disposals of property, plant and equipment	2,163	5,997
Gain on disposal of assets held for sale	52,148	-
Gain on valuation of firm commitment	9,606	13,447
Reversal of other provisions	3,819	2,459
Gain on disposals of emission rights	4	2,970
Others	39,333	30,216
	<u>₩ 132,865</u>	<u>57,429</u>
Other non-operating expenses		
Other bad debt expenses	₩ -	10,847
Loss on disposals of investments		
in subsidiaries, associates and joint ventures	196	20
Loss on disposals of property, plant and equipment	13,274	13,365
Impairment loss on property, plant and equipment	47,580	40,631
Loss on disposal of assets held for sale	-	31,222
Loss on valuation of firm commitment	2,447	1,309
Idle tangible asset expenses	1,321	1,466
Increase to provisions	1,305	3,079
Donations	21,523	23,133
Others	25,504	36,805
	<u>₩ 113,150</u>	<u>161,877</u>

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30. Expenses by Nature

Expenses that are recorded by nature as cost of sales, selling and administrative expenses, impairment loss on other receivables and other non-operating expenses in the statements of comprehensive income for each of the three-month periods ended March 31, 2025 and 2024 are as follows (excluding finance costs and income tax expense):

<i>(in millions of Won)</i>		March 31, 2025	March 31, 2024
Raw material used, changes in inventories and others	₩	10,507,948	10,465,365
Employee benefits expenses		1,265,969	1,211,194
Outsourced processing cost		2,037,658	2,549,589
Electricity and water expenses		364,019	322,578
Depreciation(* 1)		909,721	880,865
Amortization		112,756	122,641
Freight and custody expenses		562,217	674,468
Sales commissions		17,923	22,054
Loss on disposal of property, plant and equipment		13,274	13,365
Impairment loss on property, plant and equipment		47,580	40,631
Impairment loss on intangible assets		12	11
Donations		21,523	23,133
Other expenses		1,120,885	1,304,911
	₩	<u>16,981,485</u>	<u>17,630,805</u>

(*1) Including depreciation of investment property.

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31. Income Taxes

The effective tax rates of the Group for each of the three-month periods ended March 31, 2025 and 2024 are 32.50% and 17.02%, respectively.

(a) Application of the Consolidated Tax Payment System

In 2025, the Group has applied the consolidated tax payment system, under which a controlling company and its domestic subsidiaries, if economically integrated, are treated as a single tax entity for corporate income tax purposes. Under this system, the controlling company, as the consolidated parent entity, is responsible for filing and paying the corporate income tax on behalf of the entire consolidated group. After payment, the parent company collects the corresponding tax amounts from each domestic subsidiary.

Domestic and foreign subsidiaries that are not included in the consolidated tax payment system calculate and pay corporate income tax based on each legal entity as a separate tax unit.

Deferred tax assets and deferred tax liabilities of entities included in the consolidated tax payment system are offset when the Group has a legally enforceable right to offset current tax assets against current tax liabilities, and the deferred tax assets and liabilities relate to income taxes levied by the same tax authority and there is an intention to settle them on a net basis.

(b) Global minimum tax

In 2023, Pillar Two legislation has been enacted in the Republic of Korea, where the parent company is domiciled, which is effective for the fiscal years starting on or after January 1, 2024. Accordingly, the Group calculated the Pillar Two income tax expense for the three-month period ended March 31, 2025 as it is subject to global minimum tax under the OECD's Pillar Two Model Rules. The Group reviewed subsidiaries qualifying as taxpayers, including the parent company and, as a result, did not recognize any income tax expense for the three-month period ended March 31, 2025 as the impact of the global minimum tax on the consolidated financial statements as of March 31, 2025 would not be significant. Furthermore, the Group applies temporary exception to the recognition and disclosure of deferred taxes arising from the jurisdictional implementation of the Pillar Two Model Rules as prescribed in KIFRS 1012 *Income Taxes*. Accordingly, it did not recognize deferred tax assets and liabilities related to the global minimum tax and does not disclose information related to deferred income tax.

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32. Earnings per Share

- (a) Basic earnings per share for each of the three-month periods ended March 31, 2024 and 2023 are as follows:

(in Won, except per share information)

		March 31, 2025	March 31, 2024
Profit attributable to controlling interest	₩	302,295,393,171	540,715,276,945
Weighted-average number of common shares outstanding(* 1)		75,620,779	75,876,207
Basic earnings per share	₩	3,998	7,126

- (*1) The weighted-average number of common shares used to calculate basic earnings per share is as follows:

(shares)

	March 31, 2025	March 31, 2024
Total number of common shares issued	82,624,377	84,571,230
Weighted-average number of treasury shares	(7,003,598)	(8,695,023)
Weighted-average number of common shares outstanding	75,620,779	75,876,207

The Group has exchangeable bonds that can be exchanged for common stocks with dilutive effects as of March 31, 2025 and December 31, 2024. The diluted earnings per share for the three-month period ended March 31, 2025 is the same as the basic earnings per share due to the anti-dilutive effect.

- (b) Diluted earnings per share for the three-month period ended March 31, 2024 are calculated as follows:

(in Won, except share information)

		March 31, 2024
Profit attributable to controlling interest	₩	540,715,276,945
loss from revaluation of and exchange rate on exchangeable bonds		(87,838,993,624)
Adjusted weighted-average number of common shares outstanding(* 1)		79,189,781
Diluted earnings per share		5,719

- (*1) The weighted-average number of common shares outstanding used to calculate diluted earnings per share is as follows:

(shares)

	March 31, 2024
Weighted-average number of common shares outstanding	75,876,207
Weighted-average number of potential common shares	3,313,574
Adjusted weighted-average number of common shares	79,189,781

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33. Related Party Transactions

(a) Related parties of the Group as of December 31, 2025 are as follows:

Type	Company
Investments in associates and joint ventures	[Domestic] POSCO MC MATERIALS, Samcheok Blue Power Co.,Ltd., SNNC and others.
	[Foreign] Roy Hill Holdings Pty Ltd, POSCO-NPS Niobium LLC, KOBRASCO, PT NICOLE METAL INDUSTRY, HBIS-POSCO Automotive Steel Co.,Ltd, South -East Asia Gas Pipeline Company Ltd., 9404-5515 Quebec Inc., KOREA LNG LTD., Nickel Mining Company SAS and others.

(b) Material transactions between the Group and related parties for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

1) For the three-month period ended March 31, 2025

(in millions of Won)

	Sales and others(*1)			Purchase and others	
	Sales	Dividends	Others	Purchase of material	Others
Associates and joint ventures(*1)					
New Songdo International City Development, LLC	₩ 43,934	-	-	-	54
SNNC	17,840	-	3	126,584	1,815
POSCO-SAMSUNG-SLOVAKIA PROCESSING CENTER	11,279	-	-	1	-
Gunggi Green Energy	5,724	-	-	-	1,477
POS-SEAH STEEL WIRE(TIANJIN)CO.,Ltd	3,282	-	-	-	-
POS SeAH Steel Wire(Nantong) Co., Ltd.	13,085	-	-	86	-
South-East Asia Gas Pipeline Company Ltd.	-	11,941	-	-	-
POSCO MC MATERIALS	31,430	3,000	-	1,515	90
Samcheok Blue Power Co., Ltd.	61,920	2,795	352	-	-
POSCO(Guangdong) Automotive Steel Co., Ltd	52,643	-	-	60,632	-
HBIS-POSCO Automotive Steel Co., Ltd	5,645	-	-	8,907	71
Roy Hill Holdings Pty Ltd	-	62,937	-	387,494	-
Others	46,653	25,175	211	36,530	11,286
	₩ 293,435	105,848	566	621,749	14,793

(*1) As of March 31, 2025, the Group provides payment guarantees to the related parties (see Note 34).

2) For the three-month period ended March 31, 2024

(in millions of Won)

	Sales and others(*1)			Purchase and others	
	Sales	Dividends	Others	Purchase of material	Others
Associates and joint ventures(*1)					
New Songdo International City Development, LLC	₩ 57,107	-	-	-	94
SNNC	27,914	-	3	120,908	9
POSCO-SAMSUNG-SLOVAKIA PROCESSING CENTER	14,232	-	-	587	-
Gunggi Green Energy	7,796	-	-	-	1,416
POS-SeAH Steel Wire(Tianjin) CO., Ltd.	3,496	-	-	-	-
POS SeAH Steel Wire(Nantong) Co., Ltd.	13,642	-	-	1	-
South-East Asia Gas Pipeline Company Ltd.	-	15,015	-	-	-
POSCO MC MATERIALS	28,943	-	-	1,172	177
Samcheok Blue Power Co., Ltd.	74,533	2,471	169	-	-
Pocheon-Hwado Highway Corp.	44,812	-	-	-	-
POSCO(Guangdong) Automotive Steel Co., Ltd	67,017	-	-	77,103	-
HBIS-POSCO Automotive Steel Co., Ltd	14,036	-	-	5,657	-
Roy Hill Holdings Pty Ltd	-	114,870	-	439,363	-
Others	24,506	23,620	171	42,008	23,404
	₩ 378,034	155,976	343	686,799	25,100

(*1) As of March 31, 2024, the Group provides payment guarantees to the related parties (see Note 34).

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33. Related Party Transactions (cont'd)

(c) The balances of receivables and payables arising from significant transactions between the Group and the related parties as of March 31, 2025 and December 31, 2024 are as follows:

1) March 31, 2025

(in millions of Won)		Receivables(* 1)				Payables		
		Trade accounts and notes receivable	Loans	Others	Total	Trade accounts and notes payable	Others	Total
Associates and joint ventures								
New Songdo International City Development, LLC	₩	113,501	-	-	113,501	-	2,936	2,936
Gunggi Green Energy		11,316	-	10,706	22,022	-	441	441
POSCO(Guangdong) Automotive Steel Co., Ltd		37,751	15,833	-	53,584	34,485	-	34,485
AMCI (WA) PTY LTD		-	143,928	-	143,928	-	-	-
HBIS-POSCO Automotive Steel Co.,Ltd		8,987	-	-	8,987	1,037	1,809	2,846
POS-SEAHSTEELWIRE(TIANJIN)CO.,Ltd		4,467	-	-	4,467	-	-	-
Samcheok Blue Power Co., Ltd.		169,986	-	164	170,150	-	6,005	6,005
Nickel Mining Company SAS		-	71,453	156	71,609	-	358	358
POS-SeAH Steel Wire(Nantong) Co., Ltd.		15,752	-	-	15,752	138	-	138
POSCO MC MATERIALS		12,437	-	3,195	15,632	625	355	980
Pocheon-Hwado Highway Corp.		10,985	-	-	10,985	-	-	-
UTrans LRT Co., Ltd.		-	39,353	91	39,444	-	-	-
Roy Hill Holdings Pty Ltd		50,201	-	12,659	62,860	261,980	-	261,980
SNINC		11,314	-	57	11,371	28,220	401	28,621
FQM Australia Holdings Pty Ltd		-	292,500	-	292,500	-	-	-
Others		33,525	22,275	152,912	208,712	2,907	12,745	15,652
	₩	480,222	585,342	179,940	1,245,504	329,392	25,050	354,442

(*1) As of March 31, 2025, the Group recognizes an allowance for doubtful account for receivables above amounting to ₩510,569 million.

2) December 31, 2024

(in millions of Won)

		Receivables(*1)					Payables		
		Trade accounts and notes receivable	Loans	Others	Total		Trade accounts and notes receivable	Others	Total
Associates and joint ventures									
New Songdo International City Development, LLC	₩	96,730	-	1,657	98,387	-	-	30,087	30,087
Gunggi Green Energy		5,846	-	10,706	16,552	-	-	567	567
POSCO(Guangdong) Automotive Steel Co., Ltd		46,547	6,162	-	52,709	48,866	-	-	48,866
AMCI (WA) PTY LTD		-	142,767	-	142,767	-	-	-	-
HBIS-POSCO Automotive Steel Co.,Ltd		13,924	-	-	13,924	5,483	1,922	-	7,405
POS-SEAHSTEELWIRE(TIANJIN)CO.,Ltd		5,970	-	-	5,970	-	-	-	-
Samcheok Blue Power Co., Ltd.		189,173	-	148	189,321	-	77,187	-	77,187
Nickel Mining Company SAS		-	68,793	122	68,915	-	358	-	358
POS-SeAH Steel Wire(Nantong) Co., Ltd.		19,628	-	-	19,628	-	-	-	-
POSCO MC MATERIALS		14,544	-	168	14,712	1,314	357	-	1,671
Pocheon-Hwado Highway Corp.		10,985	-	-	10,985	-	-	-	-
UTrans LRT Co., Ltd.		13,592	51,051	9,187	73,830	-	-	-	-
Roy Hill Holdings Pty Ltd		25,023	-	8,836	33,859	356,234	25	-	356,259
SNINC		12,861	-	70	12,931	10,322	1,298	-	11,620
FQM Australia Holdings Pty Ltd		-	292,764	-	292,764	-	-	-	-
Others		27,728	19,730	138,239	185,697	10,168	10,129	-	20,297
	₩	482,551	581,267	169,133	1,232,951	432,387	121,930	-	554,317

(*1) As of December 31, 2024, the Group recognizes an allowance for doubtful account for receivables above amounting to ₩506,673 million.

POSCO HOLDINGS INC. and its subsidiaries
Notes to the interim condensed consolidated financial statements, continued
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33. Related Party Transactions (cont'd)

(d) Major financial transactions between the Group and the related parties for the three-month period ended March 31, 2025 and the year ended December 31, 2024 are as follows:

1) For the three-month period ended March 31, 2025

<i>(in millions of Won)</i>		Beginning	Lend	Collect	Others(*1)	Ending
Associates and joint ventures						
UITrans LRT Co., Ltd.	₩	51,051	-	(11,698)	-	39,353
PT. Tanggamus Electric Power		3,854	-	-	(9)	3,845
Nickel Mining Company SAS		68,793	-	-	2,660	71,453
KRAKATAU POS-CHEM DONG-SUH CHEMICAL		1,470	-	-	(3)	1,467
Hyo-chun Co., Ltd.		2,382	-	-	-	2,382
AMCI (WA) PTY LTD		142,767	68	-	1,093	143,928
POS-AUSTEM WUHAN AUTOMOTIVE CO.,LTD		5,636	-	-	11	5,647
FQM Australia Holdings Pty Ltd		292,764	-	-	(264)	292,500
POHANG E&E Co., LTD		3,228	-	-	-	3,228
POSCO(Guangdong) Automotive Steel Co., Ltd.		6,162	26,040	(16,444)	75	15,833
Gale International Korea, LLC		100	80	-	-	180
P&O Chemical Co., Ltd.		3,060	-	-	(3,060)	-
CAML		-	5,524	-	-	5,524
	₩	<u>581,267</u>	<u>31,712</u>	<u>(28,142)</u>	<u>503</u>	<u>585,340</u>

(*1) Including adjustments of foreign currency translation differences and others.

2) For the year ended December 31, 2024

<i>(in millions of Won)</i>		Beginning	Lend	Collect	Others(*1)	Ending
Associates and joint ventures						
UITrans LRT Co., Ltd.	₩	46,335	4,718	-	(2)	51,051
PT. Tanggamus Electric Power		4,826	-	(1,288)	316	3,854
Nickel Mining Company SAS		64,197	-	-	4,596	68,793
KRAKATAU POS-CHEM DONG-SUH CHEMICAL		2,579	-	(1,379)	270	1,470
Hyo-chun Co., Ltd.		2,382	-	-	-	2,382
AMCI (WA) PTY LTD		112,177	6,499	-	24,091	142,767
POS-AUSTEM WUHAN AUTOMOTIVE CO.,LTD		5,158	-	-	478	5,636
FQM Australia Holdings Pty Ltd		256,938	3,126	-	32,700	292,764
POHANG E&E Co., LTD		1,646	1,582	-	-	3,228
POSCO(Guangdong) Automotive Steel Co., Ltd.		14,332	59,402	(68,294)	722	6,162
Gale International Korea, LLC		-	100	-	-	100
P&O Chemical Co., Ltd.		-	3,060	-	-	3,060
	₩	<u>510,570</u>	<u>78,487</u>	<u>(70,961)</u>	<u>63,171</u>	<u>581,267</u>

(*1) Including adjusted foreign currency translation differences and others.

(e) For each of the three-month periods ended March 31, 2025 and 2024, there were additional investments in associates and joint ventures and others amounting to ₩17,669 million and ₩30,777 million, respectively.

(f) For each of the three-month periods ended March 31, 2025 and 2024, details of compensation to key management officers are as follows:

<i>(in millions of Won)</i>		March 31, 2025	March 31, 2024
Short-term benefits	₩	46,078	43,273
Long-term benefits		2,518	2,953
Retirement benefits		7,125	8,761
	₩	<u>55,721</u>	<u>54,987</u>

Key management officers include directors (including non-standing directors), executive officials and fellow officials who have significant influences and responsibilities in the Group's business and operations.

34. Commitments and Contingencies

(a) Contingent liabilities

Contingent liabilities can change due to unforeseen circumstances; therefore, management continuously reviews whether the likelihood of an outflow of resources embodying economic benefits has increased. Except in extremely rare circumstances where it cannot be reliably estimated, if the likelihood of an outflow of future economic benefits has increased, even if it had been treated as a contingent liability in the past, such changes in likelihood are recognized as a provision in the consolidated financial statements for the period in which the change occurred.

Management of the Group makes estimates and assumptions that affect disclosures of commitments and contingencies. All estimates and assumptions are based on the evaluation of current circumstances and appraisals with the support of internal and/or external specialists.

Management of the Group regularly analyzes the most current information on contingent events and provides information regarding provisions related to contingent losses, including potential estimated legal costs. Such assessments are based on consultations with internal and external legal counsel. In making the decision on the recognition of a provision, management considers the likelihood of an outflow of resources embodying economic benefits to settle the obligation and the possibility of making a reliable estimate of the amount.

POSCO HOLDINGS INC. and its subsidiaries

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34. Commitments and Contingencies (cont'd)

(b) Details of guarantees

- 1) Contingent liabilities on outstanding guarantees provided by the Group as of March 31, 2025 are as follows:

(in millions of Won)				Guarantee limit		Guarantee amount	
Guarantor	Guarantee beneficiary	Financial institution	Foreign currency	Won equivalent	Foreign currency	Won equivalent	
[The Company]							
POSCO HOLDINGS INC.	POSCO Asia Co., Ltd.	Credit Agricole and others	USD	200,000,000	293,300	-	
	POSCO Argentina S.A.U	HSBC and others	USD	1,079,900,000	1,583,673	860,996,774	
POSCO	POSCO-VIETNAM Co., Ltd.	Shinhan Bank and others	USD	110,000,000	161,315	30,000,000	
	POSCO ASSAN TST STEEL INDUSTRY Inc	Citibank and others	USD	122,850,000	180,160	122,850,000	
POSCO INTERNATIONAL Corporation	POSCO COATED STEEL (THAILAND) CO., LTD.	HSBC and others	THB	4,800,000,000	207,312	1,776,000,000	
	GOLDEN LACE POSCO INTERNATIONAL CO., LTD.	POSCO Asia Co., Ltd.	USD	13,200,000	19,358	11,000,000	
	PT. Bio Inti Agrindo	BTBN and others	IDR	902,400,000,000	79,953	902,400,000,000	
	POSCO ASSAN TST STEEL INDUSTRY	Woori Bank Hong Kong and others	USD	13,650,000	20,018	13,650,000	
	POSCO INTERNATIONAL Deutschland GmbH	Bank Mendes Gans Amsterdam	USD	50,000,000	73,325	-	
	POSCO INTERNATIONAL JAPAN Corp.	-	-	-	-	-	
	POSCO INTERNATIONAL AMERICA Corp.	-	-	-	-	-	
	POSCO INTERNATIONAL SINGAPORE Pte. Ltd.	-	-	-	-	-	
	POSCO INTERNATIONAL Malaysia SDN BHD	-	-	-	-	-	
	POSCO INTERNATIONAL ITALIA S.R.L.	-	-	-	-	-	
	POSCO INTERNATIONAL MEXICO S.A. de C.V.	-	-	-	20,000,000	29,330	
	POSCO INTERNATIONAL AUSTRALIA HOLDINGS PTY LTD	-	-	-	-	-	
	POSCO INTERNATIONAL MEXICO E-MOBILITY S.A DE C.V.	-	-	-	-	-	
	POSCO INTERNATIONAL POLAND E-MOBILITY Sp.z o.o	-	-	-	-	-	
	POSCO INTERNATIONAL E&P MALAYSIA SDN. BHD.	SC MALAYSIA	USD	5,000,000	7,333	5,000,000	
	PT. KRATAU POSCO ENERGY	POSCO Asia Co., Ltd. and others	USD	102,903,407	150,908	41,301,000	
POSCO INTERNATIONAL MEXICO E-MOBILITY S.A DE C.V.	Export-Import Bank of Korea and others	USD	52,054,800	76,338	44,379,000	65,082	
	PT Bank Negara Indonesia	USD	750,000	1,100	750,000	1,100	
	SMBC Singapore	USD	20,880,000	30,621	20,880,000	30,621	
	POSCO Asia Co., Ltd.	USD	6,000,000	8,799	6,000,000	8,799	
	POSCO Asia Co., Ltd.	USD	16,784,336	24,614	13,986,947	20,512	
	Investissement Quebec, Strategic Innovation Fund	CAD	299,562,500	306,875	232,265,400	237,935	
	[Associates and joint ventures]						
	POSCO HOLDINGS INC.	Nickel Mining Company SAS	SMBC	EUR	46,000,000	73,041	46,000,000
	POSCO	POSLUK Titanium LLP	Shinhan Bank	USD	13,250,000	19,431	12,750,000
	POSCO INTERNATIONAL Corporation	GLOBAL KOMSCO Daewoo LLC	Hana Bank Bahrain	USD	6,650,000	9,752	5,250,000
POSCO Eco & Challenge Co., Ltd.	Chun-cheon Energy Co., Ltd	Kookmin Bank and others	KRW	149,200	149,200	122,170	
[Others]							
POSCO Eco & Challenge Co., Ltd.	Subcontractors for maintenance projects, etc.	Kookmin Bank and others	KRW	884,123	884,123	288,494	
POSCO AUSTRALIA PTY LTD	Department of Trade and Investment (NSW Government) and others	Woori Bank and others	AUD	18,112,062	16,675	18,112,062	
PT. Bio Inti Agrindo	KSI Mandiri Sejatera	Bank Muamalat	IDR	80,000,000,000	7,088	18,933,333,333	
POSCO COATED STEEL (THAILAND) CO., LTD.	AMATA NATURAL GAS DISTRIBUTION COMPANY LIMITED and others	SC Bank	THB	54,614,000	2,359	54,614,000	
	BUREAU OF INDIAN STANDARDS (BIS)	SC Bank	USD	10,000	15	10,000	
	Gail India and others	HSBC and others	INR	852,129,542	14,606	852,129,542	
POSCO Maharashtra Steel Private Limited							

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34. Commitments and Contingencies (cont'd)

2) Details of credit enhancements by type of the Group's PF business as of March 31, 2025 are as follows:

① Maintenance projects and others

a. Information about maturity of the loans related to PF credit enhancements such as debt acceptance and fund supplementation is as follows:

(in millions of Won)													
Provider	Project(s)*1)	Borrower	Type	Credit enhancement measures	Agreed amount	Executed amount	Balance of the loans						
							Total	Within 3 months	3-6 months	6 months -1 year	1 year -2 years	2 years -3 years	After 3 years
[The Company]													
POSCO Eco & Challenge Co., Ltd.	Other projects	JB CLARK HILLS CORP	Main PF	Debt assumption	₩ 48,395	40,329	40,329	-	40,329	-	-	-	-
[Associates and joint ventures]													
POSCO Eco & Challenge Co., Ltd.	Other projects	New Songdo International City Development, LLC	Mortgage loan	Debt assumption	494,000	300,100	300,100	-	-	-	-	300,100	-
[Others]													
POSCO Eco & Challenge Co., Ltd.	Maintenance projects	Banghae Shindonga Apartment Reconstruction and Maintenance Project Association, etc.	Main PF	Debt assumption	951,626	452,672	452,672	33,600	126,345	-	177,648	-	115,079
	Other projects	Chic Center PFV	Main PF	Debt assumption	45,000	45,000	45,000	-	-	-	-	-	45,000
	Other projects	LandmarkSewoon	Main PF	Debt assumption	50,000	50,000	50,000	-	-	-	-	-	50,000
	Other projects	DAON INP Co., Ltd.	Main PF	Joint guarantee	36,000	14,100	14,100	-	-	14,100	-	-	-
	Other projects	Jeonju Eco-city	Main PF	Debt assumption	53,300	22,800	22,800	-	-	-	22,800	-	-
	Other projects	Aptcity HNG	Main PF	Debt assumption	10,000	10,000	10,000	-	-	10,000	-	-	-
POSCO DX	Other projects	Jeonjong school keeper co. and others(*2)	Main PF	Supplemental funding agreement	123,309	42,185	42,185	-	-	-	-	1,037	41,148
					₩ 1,269,235	636,757	636,757	33,600	126,345	24,100	200,448	1,037	251,227
					₩ 1,811,630	977,186	977,186	33,600	166,674	24,100	200,448	301,137	251,227

(*1) The maintenance project mainly consists of reconstruction and condominium construction projects, and other projects consist of constructions of office buildings, retail shops, warehouses, and educational facilities.

(*2) The obligation to supplement funding has been included in the Group's proportionate interests. The execution amount of the supplement funding obligation may vary depending on the fulfillment of such obligations by other construction investors or operational investors. (Including other interests: guarantee limit of ₩1,122,320 million, outstanding loan balance of ₩387,433 million)

b. Details of conditional debt acceptance and principal and interest repayment commitments in the event of non-compliance with completion guarantee covenant as of March 31, 2025 are as follows:

(in millions of Won)

		Number of constructions	Contract amount	Contingency amount(*1)(*2)	Balance of loans
Maintenance projects	All	19	₩ 8,667,885	3,612,841	1,924,635
	Between the Group	19	6,346,761	2,580,097	1,263,098

(*1) The overlapping amount with other credit enhancement measures such as the agreed debt assumption upon loan origination amounts to ₩17,465 million for maintenance projects.

(*2) In the case of joint subcontracting projects, the total joint guarantee amount of the project participants has been disclosed. However, the final execution amount of completion guarantee may vary depending on factors such as the reasons attributable to the project participants upon actual execution of the completion guarantee.

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34. Commitments and Contingencies (cont'd)

- c. Details of contingent liability for damages in the event of non-compliance with construction completion covenant as of March 31, 2025 are as follows:

(in millions of Won)		Number of constructions	Contract amount	Contingency amount(*1)(*2)	Balance of loans
Maintenance projects	All	1	₩ 305,519	76,000	31,862
	Between the Group	1	305,519	76,000	31,862
Other projects	All	33	11,016,466	11,073,200	7,291,808
	Between the Group	33	10,400,519	10,769,240	7,018,905
	All	34	11,321,985	11,149,200	7,323,670
	Between the Group	34	₩ 10,706,038	10,845,240	7,050,767

(*1) The overlapping amount with other credit enhancement measures such as the agreed debt assumption upon loan origination amounts to ₩119,100 million for the maintenance projects.

(*2) In the case of joint subcontracting projects, the total joint guarantee amount of the project participants has been disclosed. However, the final execution amount of completion guarantee may vary depending on factors such as the reasons attributable to the project participants upon actual execution of the completion guarantee.

② SOC projects

(in millions of Won)

Provider	Recipient	Credit enhancement measures	Number of constructions	Approved amount	Remaining balance after repayment
[The Company]					
POSCO INTERNATIONAL Corporation	NEH Co. Ltd	Supplemental funding agreement	1	₩ 550,000	113,000
[Associates and joint ventures]					
POSCO DX	Pocheon-Hwado Highway Corp.(*1)	Providing funds	1	24,923	22,323
POSCO Eco & Challenge Co., Ltd.	Pocheon-Hwado Highway Corp.(*1)	Providing funds	1	319,515	286,163
	POHANG E&E Co., LTD(*2)	Providing funds and supplemental funding agreement	2	71,930	43,392
	Pureun Tongyeong Enviro Co., Ltd.(*2)	Providing funds	1	25,630	10,648
	Pure Gimpo Co.,Ltd(*2)	Providing funds	1	51,565	22,718
	Clean Ikon Co.,Ltd(*2)	Providing funds	1	44,054	21,644
			7	537,617	406,908
[Others]					
POSCO DX	Western Inland highway CO.,LTD.	Providing funds	1	47,348	30,566
POSCO Eco & Challenge Co., Ltd.	Western Seoul highway CO.,LTD. and others	Supplemental funding agreement	11	62,721	28,788
	Western Inland highway CO.,LTD. and others	Providing funds	42	2,752,905	1,475,156
	Pohang Youngil Bay New Port	Debt assumption	1	2,250	1,440
	Busan Sanseong Tunnel	Refinancing	1	35,296	26,750
			56	2,900,520	1,562,700
			64	₩ 3,988,137	2,082,608

(*1) The Group provides a funding commitment of ₩308,506 million (including other shares: ₩558,079 million) equivalent to the Group's share of the loan balance for the private investment project.

(*2) The Group provides a funding commitment of ₩95,702 million (including other shares: ₩174,907 million) equivalent to the Group's share of the loan balance for the private investment project.

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34. Commitments and Contingencies (cont'd)

3) Other guarantees

- ① As of March 31, 2025, the payment guarantees that the Group provides to clients, such as contract performance guarantees, installment guarantees, and defect guarantees, by subscribing to insurance policies with guarantee insurance companies or issuing guarantee certificates are as follows:

(in millions of Won)

Provider of credit enhancement	Recipient of credit enhancement	Types of guarantees	Agreed amount	Executed amount	Guarantor
[Subsidiaries]					
POSCO Eco & Challenge Co., Ltd.	Ventanas Philippines Construction Inc	Guarantee on performance for contracts and others	₩ 11,448	11,448	Credit Agricole and others
POSCO GYR Tech	POSCO	Defect liability warranty	141	141	CI Guarantee
			<u>11,589</u>	<u>11,589</u>	
[Associates and joint ventures]					
POSCO Eco & Challenge Co., Ltd.	PT.Tanggamus Electric Power	Letter of credit	2,991	2,991	Hana Bank
	PT. Wampu Electric Power	Letter of credit	2,640	2,640	Hana Bank
			<u>5,631</u>	<u>5,631</u>	
[Others]					
POSCO Eco & Challenge Co., Ltd.	DAEWOO ENGINEERING & CONSTRUCTION Co., Ltd	Guarantee on performance for construction	7,975,884	7,970,650	Construction Guarantee Cooperative
POSCO WIDE Co., Ltd	Pureun Paju Co., Ltd.	Guarantee on performance and others	3,050	3,050	Seoul Guarantee Insurance
POSCO GYR Tech	KEPCO Plant Service & Engineering Co., Ltd.	Defect liability warranty	134	134	CI Guarantee
			<u>7,979,068</u>	<u>7,973,834</u>	
			<u>₩ 7,996,288</u>	<u>7,991,054</u>	

- ② As of March 31, 2025, the primary payment guarantees and other guarantees that the Group is provided from the guarantee institution are as follows:

(in millions of Won)

Provider	Types of guarantees	Agreed amount	Executed amount
Construction Guarantee Cooperative	Subcontractor Payment Guarantee and others	₩ 4,539,474	4,539,474
Engineering guarantee insurance	Guarantee on performance for EPC contracts and others	901,168	622,530
Seoul Guarantee Insurance	Construction performance guarantee and others	527,192	527,192
Korea Housing & Urban Guarantee Corporation	Housing Guarantee and others	7,358,300	7,358,300
Woori Bank and others	Foreign currency guarantee	2,037,587	856,066
Korea software financial cooperative	Guarantee on performance for contracts	124,440	124,440
Seoul Guarantee Insurance	Guarantee on performance and others	91,285	91,285
Construction Guarantee Cooperative	Guarantee on performance	377	377
CI Guarantee	Defect liability warranty	275	275
		<u>₩ 15,580,098</u>	<u>14,119,939</u>

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34. Commitments and Contingencies (cont'd)

(c) Other commitments

Details of other commitments of the Group as of March 31, 2025 are as follows:

Company	Description
POSCO HOLDINGS INC.	As of March 31, 2025, POSCO HOLDINGS INC. entered into a commitment with KOREA ENERGY AGENCY for long-term foreign currency borrowings, which are limited up to the amount of USD 1.05 million. The borrowing is related to the exploration of gas hydrates in Western Fergana-Chinabad. The repayment of the borrowings depends on the success of the projects. POSCO HOLDINGS INC. is not liable for the repayment of full or part of the amount borrowed if the respective projects fail. POSCO HOLDINGS INC. has agreed to pay a certain portion of its profits under certain conditions, as defined by the borrowing agreements. As of March 31, 2025, the ending balance of the borrowing amounts to USD 1.02 million. POSCO HOLDINGS INC. has deposited 85,083 treasury shares for exchange with the Korea Securities Depository in relation to foreign currency exchangeable bonds as of March 31, 2025.
POSCO	POSCO entered into long-term contracts to purchase iron ore, coal, nickel and others. The long-term purchase contract period is more than two years for iron ore, three years for coal, and one year for nickel. These contracts provide for periodic price adjustments based on the market price. As of March 31, 2025, 76 million tons of iron ore and 5 million tons of coal remained to be purchased under such long-term contracts. POSCO entered into an agreement with Tangguh Liquefied Natural Gas (LNG) Consortium in Indonesia to purchase 550 thousand tons of LNG annually for 20 years commencing in August 2005. The purchase contract period and volume are 550,000 tons per year for 20 years from August 2005, and 120,000 tons from September 2025 to March 2026. The purchase price is subject to change, based on changes of the monthly standard oil price (JCC) and with a price ceiling. POSCO has a long-term service contract for the transportation of raw material. As of March 31, 2025, there are 34 vessels under contract, and the average remaining contract period is about 6 years. POSCO entered into an agreement (LNG SPA) with POSCO INTERNATIONAL SINGAPORE PTE LTD. to purchase 370 thousand tons of LNG annually for 15 years commencing in November 2026. The purchase price is subject to change based on changes of U.S. Henry Hub Natural Gas Spot Price. POSCO has extension option of extending the purchase contract by
POSCO INTERNATIONAL Corporation	POSCO INTERNATIONAL Corporation operates a ship-to-ship business in which ships are chartered from ship's owners and leased out to shippers. POSCO INTERNATIONAL Corporation has entered into a ship purchase agreement with the ship owners and the shippers, which obliges the shippers to pay the agreed amount either at the end of the contract terms or at the agreed termination and to take over the ownership of the vessel from the ship owners. Only if the shipper fails to fulfill its obligation including payment obligation for the purchase of the vessel, POSCO INTERNATIONAL Corporation is obliged to take over the ship based on the condition that the shipper's contractual obligations and rights are transferred to POSCO INTERNATIONAL Corporation. As of March 31, 2025, the shipper purchased two of the three chartered ship, resulting in the early termination of the ship purchase agreement. The Company invested in the Ambatovy Nickel Project (DMSA/AMSA) in Madagascar through the Korea Ambatovy Consortium (KAC) formed with Korea Mine Rehabilitation and Mineral Resources Corporation (KOMIR) and STX Corporation. SHERRITT INTERNATIONAL CORP., the operator, transferred a portion of the project's interests to Sumitomo and AHL (Ambatovy Holdings Limited) in November 2017, and transferred the remaining interests of the project to Sumitomo and AHL2 (Ambatovy Holdings II Limited) in August 2020. KAC has the rights and obligations to the 15.33% stake held by AHL.
POSCO Eco & Challenge Co., Ltd.	As of March 31, 2025, according to the investor agreement for the construction of Samcheok Thermal Power Plant, POSCO Eco & Challenge Co., Ltd. is obligated to make contributions for core capital, unqualified investment, excess expenses occurred for business, and acceleration of payment.
POSCO FUTURE M CO., LTD	In accordance with the GP Shareholders Agreement with GM Battery Raw Materials Corporation ("GM"), the Company has an obligation to make additional capital contributions to ULTIUM CAM LIMITED PARTNERSHIP. As of March 31, 2025, the remaining amount of USD 666,061 thousand is scheduled to be contributed additionally by 2026 through capital call.

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34. Commitments and Contingencies (cont'd)

(d) Litigation in progress

The Group is involved in 442 lawsuits amounting to ₩1,055.6 billion as a defendant as of March 31, 2025, which arise from the ordinary course of business such as claim for confirmation of employee status. The Group has recognized provisions amounting to ₩67.4 billion for 55 lawsuits based on its reliable estimate of outflow of resources.

(e) Other major contingencies for the Group as of March 31, 2025 are as follows:

Company	Description
POSCO HOLDINGS INC.	POSCO HOLDINGS INC. has provided 3 blank checks to Korea Energy Agency as collateral for long-term foreign currency borrowings. The Company has a joint obligation with the company newly established through spin-off, POSCO, to discharge all liabilities (including financial guarantee contracts) incurred prior to the spin-off date.
POSCO INTERNATIONAL Corporation	As of March 31, 2025, POSCO INTERNATIONAL Corporation has provided 24 blank promissory notes and 15 blank checks to Korea Energy Agency and others as collateral for the guarantee on performance for contracts and others.
POSCO Eco & Challenge Co., Ltd.	As of March 31, 2025, POSCO Eco & Challenge Co., Ltd. has provided 38 blank checks and 4 blank promissory notes as collateral for agreements and outstanding loans.
POSCO DX	As of March 31, 2025, POSCO DX has provided 7 blank checks to financial institutions as collateral for the guarantee on performance for contracts and others.

35. Cash Flows from Operating Activities

Changes in operating assets and liabilities for each of the three-month periods ended March 31, 2025 and 2024 are as follows:

(in millions of Won)

	March 31, 2025	March 31, 2024
Trade accounts and notes receivable	₩ (202,991)	217,454
Other receivables	431,409	30,838
Inventories	865,893	(223,071)
Other current assets	(159,501)	(27,605)
Other non-current assets	(29,769)	(50,774)
Trade accounts and notes payable	(518,828)	(578,270)
Other payables	(644,452)	(524,919)
Other current liabilities	(65,404)	(55,926)
Provisions	(76,578)	(93,129)
Payments of severance benefits	(131,551)	(115,519)
Plan assets	124,073	91,445
Other non-current liabilities	(14,868)	3,305
	₩ <u>(422,567)</u>	<u>(1,326,171)</u>

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36. Operating Segments

- (a) The Group's operating businesses are organized based on the nature of markets and customers. During the three-month period ended March 31, 2025, the Group changed its internal organization and internal reporting structures. As a result, operating segments were re-categorized according to the revised reporting materials provided to the management for decision-making. Meanwhile, the Group has restated the information of the reporting segments from the previous quarter in accordance with the changes in the operating segments.

Segment assets, liabilities and profit (loss) are generally measured based on separate financial statements in accordance with KIFRS of the subsidiaries that constitute reportable operating segments.

Meanwhile the Group has classified the business segment, and the subsidiaries in each segments are as follows:

Operating segments		Main Business
Steel		Manufacture and sales of steel products
Infrastructure	Trading	Supply and purchase transactions between domestic and foreign companies, power generation, and resource development
	Construction	Design, production and construction of steel mills and their facilities, commercial and residential facilities, etc.
	Logistics and others	Logistics, network and system integration business
Materials of secondary battery		EV battery materials such as lithium, nickel, negative/cathode materials, and hydrogen business
Others		POSCO HOLDINGS, INC., Controlling company and Investment business

The segment profit or loss does not reflect the consolidation adjustments allocated to each entity and is determined in the same way as the consolidated net income determined by KIFRS. Segment assets and liabilities are determined based on separate financial statements. There are various transactions between reporting segments, including disposal of property, plant and equipment and provision of construction services.

- (b) Information about reportable segments for each of the three-month periods ended March 31, 2025 and 2024 is as follows:

1) For the three-month period ended March 31, 2025

(in millions of Won)

		Infrastructure				Secondary battery materials	Others	Total
		Steel	Trading	Construction	Logistics and others			
External revenues	₩	9,385,246	5,856,366	1,469,945	95,912	621,184	8,123	17,436,776
Internal revenues		5,577,344	4,704,403	418,255	781,190	308,624	678,380	12,468,196
Inter segment revenues		3,748,127	2,269,085	394,431	776,037	269,624	676,556	8,133,860
Total revenues		14,962,590	10,560,769	1,888,200	877,102	929,808	686,503	29,904,972
Segment profits (loss)		222,137	156,202	(8,193)	24,986	(97,014)	586,932	885,050

2) For the three-month period ended March 31, 2024

(in millions of Won)

		Infrastructure			Logistics and others	Secondary battery materials	Others	Total
		Steel	Construction	Trading				
External revenues	₩	9,860,776	1,842,875	5,333,768	97,569	906,360	10,602	18,051,950
Internal revenues		5,583,438	692,088	5,191,876	994,437	249,782	913,093	13,624,714
Inter segment revenues		3,666,779	658,689	2,406,856	990,263	247,113	908,215	8,877,915
Total revenues		15,444,214	2,534,963	10,525,644	1,092,006	1,156,142	923,695	31,676,664
Segment profits		210,072	80,356	173,696	38,762	25,244	931,635	1,459,765

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36. Operating Segments (cont'd)

- (c) Reconciliations of total segment revenues, profit or loss, assets and liabilities, and other significant items to their respective consolidated financial statement line items are as follows:

<i>(in millions of Won)</i>		<u>March 31, 2025</u>	<u>March 31, 2024</u>
Total profit for the period	₩	885,050	1,459,765
Fair value adjustments		(15,590)	(17,599)
Elimination of intra-group transactions		(525,225)	(834,351)
Income tax expense		165,723	124,696
Profit before income tax expense	₩	<u>509,958</u>	<u>732,511</u>

37. Events after the reporting period

- (a) On May 7, 2025, the Company issued senior unsecured foreign bonds (Global Bonds) with a total issuance amount of USD 700 million, consisting of USD 400 million with a five-year maturity and USD 300 million with a ten-year maturity. The coupon rates are 5.125% for the five-year bonds and 5.750% for the ten-year bonds.
- (b) Pursuant to the resolution of the Board of Directors on May 31, 2025, the Company decided to increase capital in its subsidiaries to strengthen their financial soundness. The capital injections are as follows: ₩525.6 billion to POSCO FUTURE M CO., LTD, ₩ 328 billion to POSOCO-Pilbara LITHIUM SOLUTION Co., Ltd., and ₩ 69 billion to POSCO-GS Eco Materials Co., Ltd.
- (c) Pursuant to the resolution of the Board of Directors on May 13, 2025, the Company decided to pay interim cash dividends of ₩2,500 per common share (total dividends: ₩189.1 billion).
- (d) POSCO Co., Ltd., a subsidiary of the Company, resolved at its Board of Directors meeting on April 21, 2025, to acquire the domestic steel scrap business's assets from POSCO International Corporation. The expected closing date of the business transfer is May 16, 2025.
- (e) On April 11, 2025, POSCO E&C Co., Ltd., a subsidiary of the Company and the lead construction contractor, experienced a partial collapse of an underground structure at the construction site of Section 5-2 of the Sinansan Line double-track railway private investment project. This incident resulted in both human casualties and property damage. The authorities are currently conducting an investigation thereon. The cause of the accident, allocation of responsibility, potential future costs, and financial impact have not yet been determined.

38. Uncertainty in Estimates Due to Imposition of Tariffs by the United States

Under Section 232 of the *Trade Expansion Act* of the United States of America, the U.S. government has imposed a 25% tariff on all steel and aluminum products, effective from March 12, 2025. Due to the tariff newly imposed, there is uncertainty in estimating financial statements.